

MLCC

Expecting prolonged tight supply/demand for MLCCs;
raising price targets for two MLCC makers Murata
Manufacturing, Taiyo Yuden

We raise our December 2026 price targets for Murata Manufacturing to ¥7,000 from ¥4,800 and Taiyo Yuden to ¥9,500 from ¥5,700, and maintain our Overweight ratings. Based on our research, we believe an increase in multilayer ceramic capacitor (MLCC) demand and allocation of production capacity for AI server applications started to impact MLCC supply for other applications in 2H of Jan–Mar 2026, and in addition to mid-to-low end products for IT applications, we think MLCC supply has also started to decrease for some automotive and other applications. We think MLCC supply/demand is likely to remain tight for an extended period due to growing demand for AI server applications, and as such, change the base year used in calculating our price targets to FY2028.

- **MLCC prices:** We expect the pace of price declines on a like-for-like product basis to slow from 2H FY2026 and for prices to stabilize in FY2027 and FY2028, but considering the tight supply conditions, we believe the pace could start slowing sharply as soon as July–September. For automotive applications, however, as full-year plans have already been finalized, we do not expect prices to fully bottom out until FY2027 or later. We currently do not factor in price hikes on a like-for-like product basis, but considering a longer cycle, higher costs, and free cash flow conditions, do not rule out the possibility that one of the MLCC makers could raise prices. If that happens, others would likely follow suit to avoid a deluge in orders. We will closely monitor market trends.
- **High-end MLCC inquiries increasing:** AI server MLCCs have to date often been high-capacitance conventional products (e.g., 1005 size, 22 µF MLCCs), but as graphics processing units (GPUs) and application-specific integrated circuits (ASICs) have evolved and power delivery networks (PDN) have changed, we think inquiries for advanced products (1005 size, 47 uF MLCCs and 0603 size, 10 uF MLCCs) could grow from 2H 2026 to 2027. We see potential for advanced MLCC demand growth to accelerate based on factors, such as 1) increased MLCC capacity requirement on increased thermal power design (TDP) for AI accelerators; 2) demand growth for 1005 size, 47 uF MLCCs in vertical power delivery (VPD) modules mainly for tensor processing units (TPUs; we expect a advanced side-gap MLCC needs due to limited die area); 3) switch to MLCCs and smaller MLCCs from multilayer aluminum electrolytic capacitors on a shift to low equivalent series inductance (ESL) products to meet high-frequency transients; 4) transition from X6S to X7S/X7T; 5) increase in multi-stage power supplies; 6) content growth on increased power supply domains. In addition, while growth in demand for use in Nvidia's AI GPUs has been a main driver to date, inquiries for passive components for ASIC-based AI servers have recently been increasing (cont'd).

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Equity Ratings and Price Targets

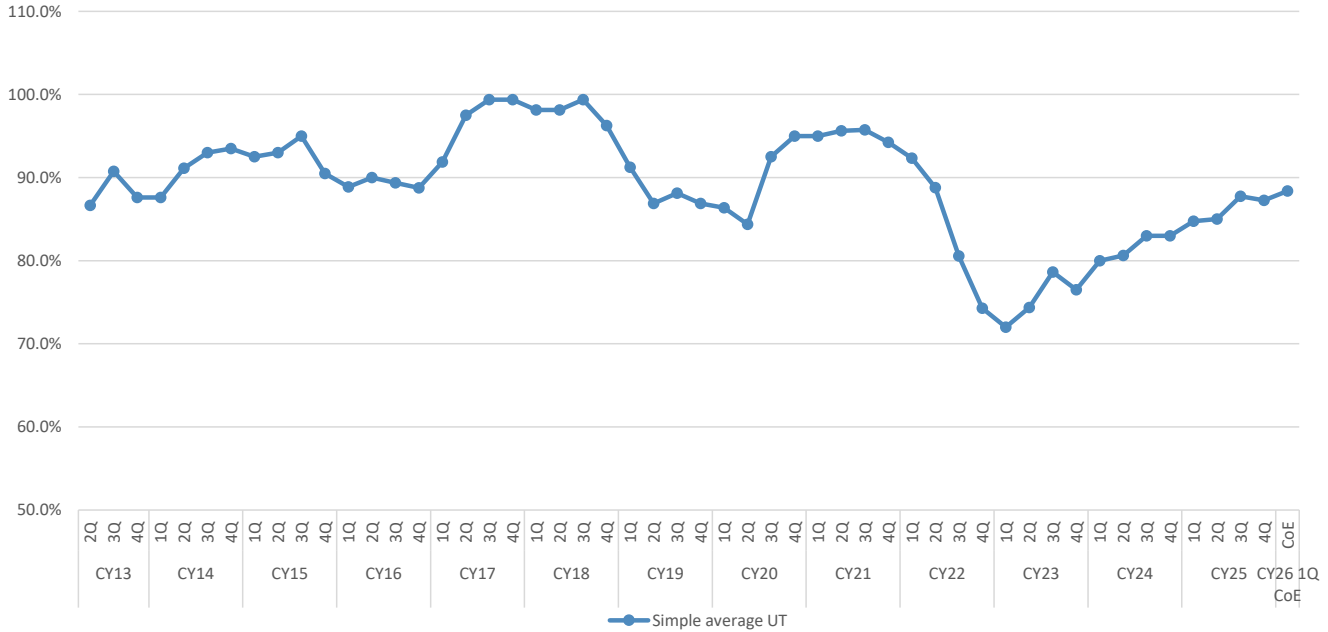
Company	Ticker	Mkt Cap (¥ bn)	Price (¥)	Rating		Price Target			
				Cur	Prev	Cur	End Date	Prev	End Date
Murata Manufacturing (6981)	6981 JP	8,963.5	4,813	OW	n/c	7,000	Dec-26	4,800	n/c
Taiyo Yuden (6976)	6976 JP	773.7	6,208	OW	n/c	9,500	Dec-26	5,700	n/c

Source: Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 23 Apr 26.

See page 27 for analyst certification and important disclosures, including non-US analyst disclosures.

- **Thoughts on earnings estimates:** We maintain our FY2025–27 earnings estimates for both Murata and Taiyo Yuden, introduce our FY2028 estimates, and now calculate our price targets based on FY2028 estimates. Assuming that supply/demand remains tight due to growing MLCC demand for AI servers, similar to in FY2027, we expect MLCC prices to stabilize on a same product basis in FY2028, and barring price declines in FY2028, which had previously offset about half the benefits of volume growth, mix improvement, and fixed-cost reductions, this should result in high profit growth in FY2028. If companies do raise prices, this could lead to large earnings upside, but currently, we do not factor this into our estimates. TDK has a low sales ratio for AI server applications and a high ratio of automotive MLCCs, but the scale of its MLCC business is similar to Taiyo Yuden, and we believe it is likely to benefit from price stabilization and sales growth in a period of tight supply/demand. However, given the need to assess trends in other businesses, we do not revise our earnings estimates for TDK at this time. The side-gap and side-margin methods used in advanced MLCCs are likely to increase the number of processes, including electrode processing (etching, laser cutting) after green sheet cutting and barium titanate side section crimping. Thus, we think more space will likely be needed for AI MLCCs due to an increase in advanced products, and believe this could contribute to a further tightening of MLCC supply/demand.
- **FY2026 guidance:** We expect both Murata and Taiyo Yuden to issue initial FY2026 operating profit guidance at or below Bloomberg consensus estimates (which are ¥385.4 billion for Murata and ¥35.1 billion for Taiyo Yuden). We believe the consensus is unlikely to factor in substantial improvement in the pricing environment for either company, but as we believe the two companies are likely to make bullish comments on current market sentiment.
- **Valuation:** We calculate our price targets for both Murata and Taiyo Yuden based on peak multiples during the cycles in 2017–18 and 2020–21. However, in both of these cycles, the tight MLCC supply/demand based on the inventory cycle ended after about six quarters. The current supply/demand tightness is being driven by growing demand for AI server applications, and if this tightness continues, we would expect valuations to increase.

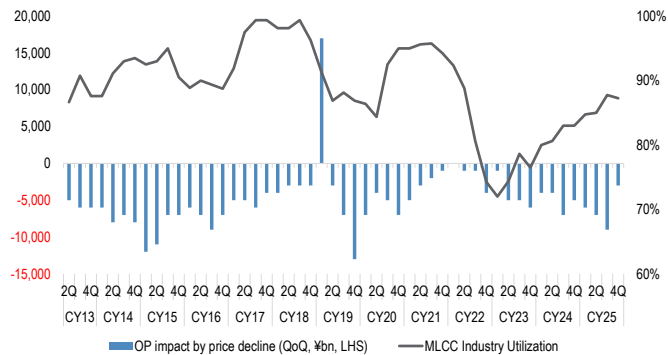
Figure 1: MLCC capacity utilization (simple average)



Source: Company data, J.P. Morgan

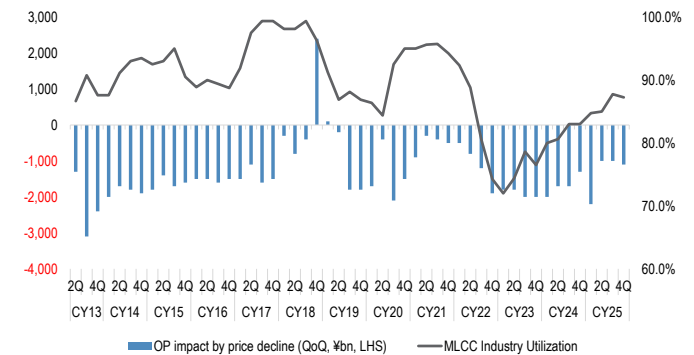
Note: Capacity utilization data covers Murata Manufacturing, Taiyo Yuden, TDK, Samsung Electro-Mechanics, and Yageo (general-purpose products).

Figure 2: Murata Manufacturing: Impact of price declines on QoQ operating profit growth and MLCC industry capacity utilization



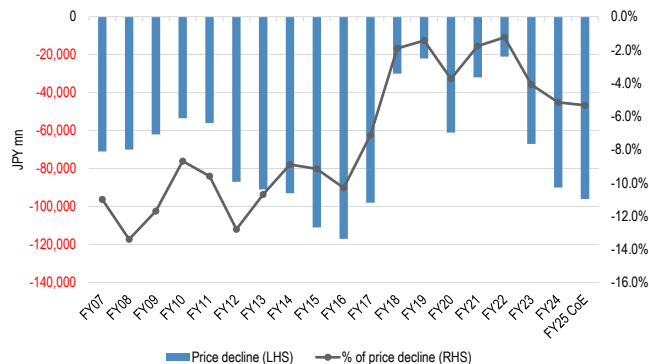
Source: Company data, J.P. Morgan.

Figure 3: Taiyo Yuden: Impact of price declines on QoQ operating profit growth and MLCC industry capacity utilization



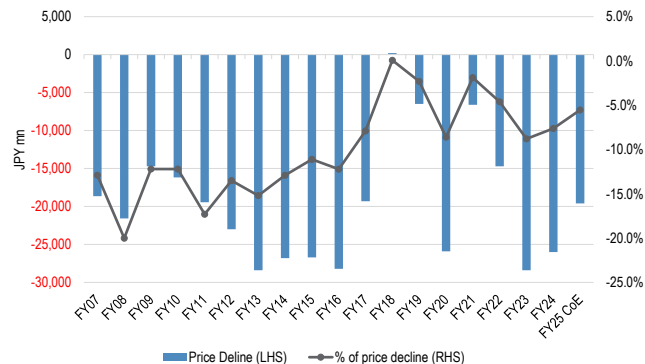
Source: Company data, J.P. Morgan.

Figure 4: Murata Manufacturing: Impact of price declines on YoY operating profit growth and scale of full-year price declines (%)



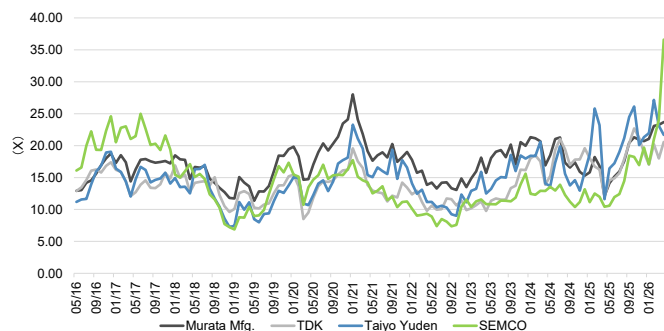
Source: Company data, J.P. Morgan.

Figure 5: Taiyo Yuden: Impact of price declines on YoY operating profit growth and scale of full-year price declines (%)



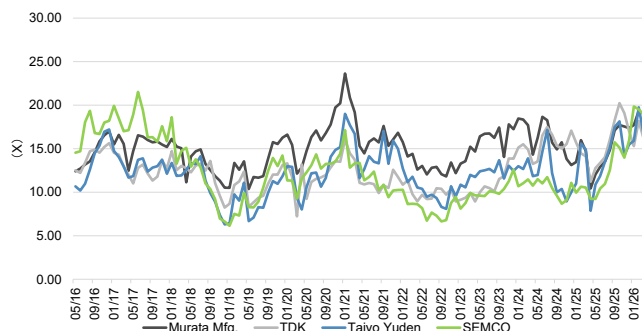
Source: Company data, J.P. Morgan.

Figure 6: 12-Month Forward Consensus P/E



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Apr 21.

Figure 7: 24-Month Forward Consensus P/B



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Apr 21.

Figure 8: Earnings Forecasts Summary (Murata Mfg.)

Murata Mfg. 6981	Sales			Operating profits			Pretax profits		Net profits		EPS	BPS	DPS	Capex	Dep.	R&D	
	JPY mn	YoY		JPY mn	YoY	OPM	JPY mn	YoY	JPY mn	YoY	JPY	JPY	JPY	JPY mn	JPY mn	JPY mn	
FY3/24	1,640,158	-2.76%		215,447	-27.67%	13.14%	239,404	-23.97%	180,838	-28.72%	95.7	1,353	52	219,531	175,873	132,502	
FY3/25	1,743,352	6.29%		279,702	29.82%	16.04%	304,404	27.15%	233,818	29.30%	125.5	1,386	57	180,471	173,365	149,274	
FY3/26E	JPM New	1,811,931	3.93%	277,014	-0.96%	15.29%	299,293	-1.68%	213,800	-8.56%	117.5	1,421	60	250,216	172,896	154,736	
FY3/27E	JPM New	1,984,896	9.55%	383,844	38.56%	19.34%	393,844	31.59%	296,183	38.53%	162.7	1,522	62	240,000	180,000	156,000	
FY3/28E	JPM New	2,204,865	11.08%	567,984	47.97%	25.76%	577,984	46.75%	434,288	46.63%	238.6	1,695	66	240,000	190,000	160,000	
FY3/29E	JPM New	2,432,463	22.55%	750,248	95.46%	30.84%	760,248	93.03%	570,986	92.78%	313.7	1,933	76	260,000	210,000	164,000	
FY3/26E	JPM Old	1,811,931	3.93%	277,014	-0.96%	15.29%	299,293	-1.68%	213,800	-8.56%	117.5	1,421	60	250,216	172,896	154,736	
FY3/27E	JPM Old	1,984,896	9.55%	383,844	38.56%	19.34%	393,844	31.59%	296,183	38.53%	162.7	1,522	62	240,000	180,000	156,000	
FY3/28E	JPM Old	2,204,865	11.08%	567,984	47.97%	25.76%	577,984	46.75%	434,288	46.63%	238.6	1,695	66	240,000	190,000	160,000	
FY3/26E	CoE 25/5	1,640,000	-5.93%	220,000	-21.34%	13.41%	230,000	-24.44%	177,000	-24.44%	97.2	-	60	270,000	172,000	151,000	
FY3/26E	CoE 25/10	1,740,000	-0.19%	280,000	0.11%	16.09%	220,000	-27.73%	220,000	-5.91%	120.8	-	60	260,000	171,000	153,000	
FY3/26E	CoE 26/2	1,800,000	3.25%	270,000	-3.47%	15.00%	294,000	-3.42%	220,000	-5.91%	120.9	-	60	250,000	171,000	155,000	
FY3/26E	BBG	1,805,472	3.56%	276,105	-1.29%	15.29%	297,284	-2.34%	220,950	-5.50%	120.0	1,447	60	250,000	171,580	-	
FY3/27E	BBG	1,944,218	7.68%	385,406	39.59%	19.82%	399,633	34.43%	301,383	36.40%	164.7	1,553	66	219,188	176,800	-	
FY3/28E	BBG	2,160,506	11.12%	480,400	24.65%	22.24%	496,126	24.15%	369,511	22.60%	207.4	1,697	72	223,388	182,500	-	
FY3/25	1H	883,481	9.02%	158,172	13.86%	17.90%	164,029	1.74%	130,320	4.13%	70.0	1,369	27	84,658	85,222	73,565	
	2H	859,871	3.62%	121,530	58.81%	14.13%	140,375	79.55%	103,498	85.86%	55.6	1,386	30	95,813	88,143	75,709	
FY3/26	1H	902,778	2.18%	165,136	4.40%	18.29%	174,782	6.56%	132,379	1.58%	72.7	1,427	30	75,414	84,580	77,995	
	2HE	909,153	5.73%	111,878	-7.94%	12.31%	124,511	-11.30%	81,421	-21.33%	44.7	-	-	174,802	88,316	76,741	
FY3/27	1HE	974,088	7.90%	182,386	10.45%	18.72%	187,386	7.21%	140,940	6.47%	77.4	-	-	120,000	90,000	78,000	
	2HE	1,010,808	11.18%	201,458	80.07%	19.93%	206,458	65.81%	155,244	90.67%	85.3	-	-	120,000	90,000	78,000	
FY3/28	1HE	1,081,995	11.08%	260,146	42.63%	24.04%	265,146	41.50%	199,259	41.38%	109.5	-	-	120,000	95,000	80,000	
	2HE	1,122,870	11.09%	307,838	52.80%	27.42%	312,838	51.53%	235,029	51.39%	129.1	-	-	120,000	95,000	80,000	
FY3/29	1HE	1,192,849	10.25%	356,727	37.13%	29.91%	361,727	36.43%	271,695	36.35%	142.6	-	-	130,000	105,000	82,000	
	2HE	1,239,614	10.40%	393,521	27.83%	31.75%	398,521	27.39%	299,291	27.34%	157.1	-	-	130,000	105,000	82,000	
FY3/26	1H	902,778	2.18%	165,136	4.40%	7.77%	174,782	6.56%	132,379	1.58%	490.3	1,426	30	75,400	84,600	78,000	
	2HE	837,222	-2.63%	114,864	-5.49%	8.77%	115,218	-17.92%	87,621	-15.34%	324.5	-	30	184,600	86,400	75,000	
FY3/26E	2HE	897,222	4.34%	104,864	-13.71%	11.69%	119,218	-15.07%	87,621	-15.34%	48.1	-	30	174,586	86,420	77,005	
FY3/25	1Q	421,707	14.69%	66,375	32.46%	15.74%	83,566	33.13%	66,365	32.47%	35.6	1,389	-	41,694	42,447	37,852	
	2Q	461,774	4.32%	91,797	3.36%	19.88%	80,463	-18.28%	63,955	-14.79%	34.3	1,369	-	42,964	42,775	35,713	
	3Q	448,008	1.96%	75,989	-0.27%	16.96%	104,528	62.79%	71,002	43.85%	38.1	1,406	-	44,829	43,598	36,263	
	4Q	411,863	5.49%	45,541	13784.45%	11.06%	35,847	156.60%	32,496	413.61%	17.4	1,386	-	50,984	44,545	39,446	
FY3/26	1Q	416,154	-1.32%	61,621	-7.16%	14.81%	62,322	-25.42%	49,714	-25.09%	27.3	1,384	-	34,715	41,950	39,819	
	2Q	486,624	5.38%	103,515	12.77%	21.27%	112,460	39.77%	82,665	29.25%	45.4	1,427	-	40,699	42,630	38,176	
	3Q	467,454	4.34%	37,876	-50.16%	8.10%	49,509	-52.64%	24,969	-64.83%	13.7	1,436	-	88,802	44,316	39,741	
	4QE	441,699	7.24%	74,002	62.50%	16.75%	75,002	109.23%	56,452	73.72%	31.0	-	-	86,000	44,000	37,000	
FY3/27	1QE	468,980	12.69%	82,976	34.66%	17.69%	86,976	39.56%	65,432	31.62%	35.9	-	-	60,000	45,000	39,000	
	2QE	505,108	3.80%	99,410	-3.97%	19.68%	100,410	-10.71%	75,508	-8.66%	41.5	-	-	60,000	45,000	39,000	
	3QE	524,463	12.20%	108,283	185.89%	20.65%	112,283	126.79%	84,412	238.07%	46.4	-	-	60,000	45,000	39,000	
	4QE	486,345	10.11%	93,175	25.91%	19.16%	94,175	25.56%	70,831	25.47%	38.9	-	-	60,000	45,000	39,000	
FY3/28	1QE	519,902	10.86%	116,934	40.92%	22.49%	120,934	39.04%	90,900	38.92%	49.9	-	-	60,000	47,500	40,000	
	2QE	562,093	11.28%	143,212	44.06%	25.48%	144,212	43.62%	108,359	43.51%	59.5	-	-	60,000	47,500	40,000	
	3QE	580,060	10.60%	159,270	47.09%	27.46%	163,270	45.41%	122,652	45.30%	67.4	-	-	60,000	47,500	40,000	
	4QE	542,810	11.61%	148,568	59.45%	27.37%	149,568	58.82%	112,376	58.65%	61.7	-	-	60,000	47,500	40,000	
FY3/29	1QE	574,430	10.49%	166,467	42.36%	28.98%	170,467	40.96%	128,051	40.87%	67.2	-	-	65,000	52,500	41,000	
	2QE	618,419	10.02%	190,260	32.85%	30.77%	191,260	32.62%	143,645	32.56%	75.4	-	-	65,000	52,500	41,000	
	3QE	639,947	10.32%	204,601	28.46%	31.97%	208,601	27.77%	156,651	27.72%	82.2	-	-	65,000	52,500	41,000	
	4QE	599,667	10.47%	188,920	27.16%	31.50%	189,920	26.98%	142,640	26.93%	74.9	-	-	65,000	52,500	41,000	
FY3/26E	4QE	CoE 26/2	429,768	4.35%	66,988	47.09%	15.59%	69,709	94.46%	62,652	92.80%	34.4	-	-	85,786	42,120	37,305

Source: Bloomberg Finance L.P. estimates, J.P. Morgan.

Note: Share price and consensus as of Apr 21.

Figure 9: Earnings Forecasts Summary (Taiyo Yuden)

6976 Taiyo Yuden	Sales		Operating Profits			Recurring profits		Net Profits		EPS	BPS	DPS	Capex	Dep.	R&D
	JPY mn	YoY	JPY mn	YoY	OPM	JPY mn	YoY	JPY mn	YoY	JPY	JPY	JPY	JPY mn	JPY mn	JPY mn
FY3/23	319,504	-8.62%	31,980	-53.12%	10.01%	34,832	-51.75%	23,216	-57.29%	186.3	2,556	90	50,489	34,903	12,678
FY3/24	322,647	0.98%	9,079	-71.61%	2.81%	13,757	-60.50%	8,317	-64.18%	61.0	2,649	90	92,201	39,391	13,696
FY3/25	341,438	5.82%	10,459	15.20%	3.06%	10,517	-23.55%	2,328	-72.01%	17.1	2,559	90	64,158	46,258	15,042
FY3/26E JPM New	353,728	3.60%	21,860	109.01%	6.18%	25,291	140.48%	16,023	588.28%	117.4	2,597	90	46,092	48,828	14,604
FY3/27E JPM New	386,396	9.24%	37,731	72.61%	9.76%	38,331	51.56%	23,965	49.56%	175.6	2,699	90	50,000	49,000	15,200
FY3/28E JPM New	424,970	9.98%	74,269	96.84%	17.48%	74,869	95.32%	49,176	105.20%	360.3	3,004	90	52,000	51,000	16,000
FY3/29E JPM New	464,836	9.38%	110,000	48.11%	23.66%	110,600	47.72%	73,830	50.13%	541.0	3,506	90	56,000	52,600	16,000
FY3/26E JPM Old	353,729	3.60%	21,859	109.00%	6.18%	25,290	140.47%	16,023	588.26%	117.4	2,597	90	46,092	48,828	14,604
FY3/27E JPM Old	386,396	9.24%	37,732	72.61%	9.76%	38,332	51.57%	23,965	49.57%	175.6	2,699	90	50,000	49,000	15,200
FY3/28E JPM Old	424,970	9.98%	74,269	96.84%	17.48%	74,869	95.32%	49,176	105.20%	360.3	3,004	90	52,000	51,000	16,000
FY3/26E CoE 25/5	340,000	-0.42%	16,000	52.98%	4.71%	15,000	42.63%	8,000	243.64%	58.6	-	90	46,000	48,000	15,500
FY3/26E CoE 25/11	347,500	1.78%	18,000	72.10%	5.18%	15,000	42.63%	9,000	286.60%	65.9	-	90	46,000	48,000	15,500
FY3/26E CoE 26/2	354,000	3.68%	21,000	100.78%	5.93%	22,000	109.19%	13,000	458.42%	95.3	-	90	46,000	48,000	15,500
FY3/26E BBG	354,623	3.86%	21,549	106.03%	6.08%	21,438	103.84%	14,627	528.30%	112.3	2,594	90	45,833	48,183	-
FY3/27E BBG	378,535	6.74%	35,120	62.98%	9.28%	35,597	66.05%	24,738	69.12%	191.5	2,675	91	50,167	49,600	-
FY3/28E BBG	412,530	8.98%	50,968	45.13%	12.36%	51,714	45.27%	36,855	48.99%	288.8	2,873	97	52,833	50,800	-
FY3/25 1H	167,856	8.00%	7,576	253.52%	4.51%	6,759	7.51%	3,567	4.91%	26.1	2,400	45	30,080	21,925	7,328
FY3/25 2H	173,582	3.80%	2,883	-58.43%	1.66%	3,758	-49.69%	-1,239	-	-9.1	2,559	45	34,078	24,333	7,714
FY3/26 1H	177,624	5.82%	9,024	19.11%	5.08%	8,106	19.93%	5,540	55.31%	40.6	-	45	19,597	23,486	7,185
FY3/26 2HE JPM	176,104	1.45%	12,836	345.23%	7.29%	17,185	357.29%	10,483	-	76.8	-	-	26,495	25,342	7,419
FY3/27 1HE JPM	191,490	7.81%	17,087	89.35%	8.92%	17,387	114.49%	10,755	94.13%	78.8	-	-	25,000	23,900	7,600
FY3/27 2HE JPM	194,906	10.68%	20,645	60.83%	10.59%	20,945	21.88%	13,210	26.01%	96.8	-	-	25,000	25,100	7,600
FY3/28 1HE JPM	208,444	8.85%	32,102	87.88%	15.40%	32,402	86.36%	21,116	96.33%	154.7	-	-	26,000	24,900	8,000
FY3/28 2HE JPM	216,527	11.09%	42,167	104.25%	19.47%	42,467	102.76%	28,060	112.42%	205.6	-	-	26,000	26,100	8,000
FY3/29 1HE JPM	228,184	9.47%	51,493	60.40%	22.57%	51,793	59.84%	34,495	63.36%	252.8	-	-	28,000	25,700	8,000
FY3/29 2HE JPM	236,652	9.29%	58,507	38.75%	24.72%	58,807	38.48%	39,335	40.18%	288.2	-	-	28,000	26,900	8,000
FY3/26 1H	177,624	5.82%	9,024	19.11%	5.08%	8,106	19.93%	5,540	55.31%	472.0	27,654	45	19,597	23,486	7,185
FY3/26 2HE CoE 25/11	169,376	-2.42%	8,976	211.34%	5.30%	6,894	83.45%	3,460	-379.26%	294.8	-	45	26,403	24,514	8,315
FY3/26E 2HE CoE 26/1	176,376	1.61%	11,976	315.40%	6.79%	13,894	269.72%	7,460	-702.10%	54.7	-	45	26,403	24,514	8,315
FY3/25 1Q	81,138	11.74%	2,630	-	3.24%	8,377	622.78%	6,309	598.67%	46.2	2,505	-	14,980	10,548	3,641
FY3/25 2Q	86,718	4.71%	4,946	81.84%	5.70%	-1,618	-	-2,742	-	-20.1	2,400	-	15,100	11,377	3,687
FY3/25 3Q	86,868	0.56%	826	-83.14%	0.95%	6,926	492.47%	4,599	1566.30%	33.7	2,457	-	16,329	11,899	3,775
FY3/25 4Q	86,714	7.27%	2,057	1.03%	2.37%	-3,168	-	-5,838	-	-42.8	2,559	-	17,749	12,434	3,939
FY3/26 1Q	84,810	4.53%	3,142	19.47%	3.70%	256	-96.94%	-876	-	-6.4	2,513	-	10,930	11,432	3,585
FY3/26 2Q	92,814	7.03%	5,882	18.92%	6.34%	7,850	-	6,416	-	47.0	2,602	-	8,667	12,054	3,600
FY3/26 3Q	88,515	1.90%	7,495	807.38%	8.47%	11,694	68.84%	7,086	54.08%	51.9	2,718	-	12,095	12,521	3,519
FY3/26 4QE JPM	87,589	1.01%	5,341	159.64%	6.10%	5,491	-	3,397	-	24.9	-	-	14,400	12,821	3,900
FY3/27 1QE JPM	93,438	10.17%	7,379	134.86%	7.90%	7,529	2841.10%	4,574	-	33.5	-	-	12,500	11,800	3,800
FY3/27 2QE JPM	98,052	5.64%	9,708	65.04%	9.90%	9,858	25.58%	6,181	-3.67%	45.3	-	-	12,500	12,100	3,800
FY3/27 3QE JPM	101,874	15.09%	12,211	62.92%	11.99%	12,361	5.70%	7,908	11.60%	57.9	-	-	12,500	12,400	3,800
FY3/27 4QE JPM	93,032	6.21%	8,433	57.90%	9.07%	8,583	56.32%	5,302	56.06%	38.8	-	-	12,500	12,700	3,800
FY3/28 1QE JPM	101,546	8.68%	14,119	91.34%	13.90%	14,269	89.52%	9,225	101.67%	67.6	-	-	13,000	12,300	4,000
FY3/28 2QE JPM	106,897	9.02%	17,983	85.25%	16.82%	18,133	83.95%	11,891	92.38%	87.1	-	-	13,000	12,600	4,000
FY3/28 3QE JPM	113,367	11.28%	22,813	86.82%	20.12%	22,963	85.77%	15,223	92.50%	111.5	-	-	13,000	12,900	4,000
FY3/28 4QE JPM	103,159	10.89%	19,355	129.50%	18.76%	19,505	127.23%	12,837	142.14%	94.1	-	-	13,000	13,200	4,000
FY3/29 1QE JPM	111,720	10.02%	24,360	72.53%	21.80%	24,510	71.77%	16,291	76.60%	119.4	-	-	14,000	12,700	4,000
FY3/29 2QE JPM	116,465	8.95%	27,133	50.88%	23.30%	27,283	50.46%	18,204	53.09%	133.4	-	-	14,000	13,000	4,000
FY3/29 3QE JPM	123,808	9.21%	31,564	38.36%	25.49%	31,714	38.11%	21,262	39.67%	155.8	-	-	14,000	13,300	4,000
FY3/29 4QE JPM	112,843	9.39%	26,943	39.21%	23.88%	27,093	38.90%	18,073	40.79%	132.4	-	-	14,000	13,600	4,000
FY3/26 4QE CoE 26/1	87,861	1.32%	4,481	117.84%	5.10%	2,200	-	374	-	2.7	-	-	14,308	11,993	4,796

Source: Bloomberg Finance L.P. estimates, J.P. Morgan.

Note: Share price and consensus as of Apr 21.

Overweight

6981.T, 6981 JP

Price (23 Apr 26):¥4,813

▲ **Price Target (Dec-26):¥7,000**

Prior (Dec-26):¥4,800

Japan Equity Research

Technology - Electronic Components

Akinori Kanemoto ^{AC}

(81-3) 6736 8628

akinori.kanemoto@jpmorgan.com

JPMorgan Securities Japan Co., Ltd.

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	81	69	61	74	67
Growth	72	63	23	87	41
Momentum	32	65	65	85	34
Quality	61	63	29	67	38
Low Vol	61	58	43	27	7
ESGQ	7	18	23	63	83

Murata Manufacturing (6981)

Raising price target, factoring in prolonged tightness in MLCC supply/demand conditions

We raise our December 2026 price target to ¥7,000 from ¥4,800 and maintain our Overweight rating. We maintain our earnings estimates for FY2025–27 and introduce new 2028 forecasts. We now base our price target on our FY2028 estimates, assuming that supply/demand conditions remain tight, as demand for AI server applications continues to grow, and that MLCC prices continue to stabilize. The supply/demand balance for other applications has tightened since March, affected by MLCC demand growth for AI servers, while demand for cutting-edge products has also started to climb steeply in AI server applications, too, and we estimate that MLCC supply/demand tightness will persist as AI services become more sophisticated.

- **Earnings estimates:** We maintain our operating profit estimates (assuming ¥155/\$) of ¥277 billion (guidance: ¥270 billion, Bloomberg consensus estimate: ¥276.1 billion) for FY2025, ¥383.8 billion (Bloomberg consensus: ¥385.4 billion) for FY2026, and ¥568 billion (Bloomberg consensus: ¥480.4 billion) for FY2027. For FY2028, we expect operating profit to increase substantially again, to ¥750 billion, on the assumption that MLCC prices remain stable on a like-for-like basis, as in FY2027. We expect strong profit growth momentum to continue barring any price declines for MLCCs since the price has stabilized, and hence a much smaller negative company-wide impact from price declines than usual (¥90–100 billion; about ¥70–80 billion for MLCCs alone).
- We assume annualized MLCC sales growth of over 10%, driven mainly by AI server applications. We expect strong profit growth prices on a like-for-like basis remain stable, as was the case in the tight supply/demand phases in 2017–18 and 2020–21. We currently only factor in MLCC price stabilization. Should Murata raise prices in response to tight supply/demand conditions, even stronger earnings could be expected. We do not think management will raise prices, but if competitors do, Murata would likely follow suit to avoid a rush of orders. We also factor into our model an easing of downward price pressure starting in 2H FY2026 and price stabilization starting in FY2027. However, given the tight supply/demand conditions since Jan–Mar 2026, prices could substantially stabilize as a result of price negotiations as soon as Jul–Sep (we expect prices to fully stop falling in FY2027, though, as annual plans for automotive applications have been finalized). We also factor in tight supply/demand conditions through FY2028, but if the AI cycle is prolonged, further earnings growth could be expected in FY2029 onward.
- Of the non-MLCC businesses, we expect stable sales and profit growth for inductors and EMI filters, and a profit decline for high-frequency communications devices through FY2026, followed by a turnaround to profit growth in FY2027, driven by a recovery of MetroCirc and RF FEM market share. In the short term, if South Korean smartphone makers are reverting to FEMID from PAMID, we would expect earnings upside in FY2026. In the energy and power area, we expect growth of LFP secondary batteries for BBU applications. In the power supply business, we expect growth of VPD modules starting in 2H FY2026, but currently forecast a modest contribution to earnings.

Price Performance



	YTD	1m	3m	12m
Abs	48.3%	37.2%	44.4%	132.0%
Rel	39.3%	30.6%	42.1%	88.2%

Company Data

Shares O/S (mn)	1,862
52-week range (¥)	4,977-1,826
Market cap (\$ bn)	56.2
Exchange rate	159.48
Free float (%)	89.8%
3M ADV (mn)	9.59
3M ADV (\$ mn)	225.7
Volatility (90 Day)	55
Index	TOPIX
BBG ANR (Buy Hold Sell)	16 4 0

Key Metrics (FYE Mar)

¥ in millions	2025/3A	2026/3E	2027/3E	2028/3E
Financial Estimates				
Revenue	1,743,352.0	1,811,930.5	1,984,896.3	2,204,864.8
EBITDA	453,067	449,910	563,844	757,984
EBIT	279,702.0	277,014.3	383,844.3	567,984.0
Net income	233,818	213,800	296,183	434,288
Reported EPS	125.5	117.5	162.7	238.6
BBG EPS	131.65	119.98	164.65	207.42
Cashflow from operations	465,478	362,541	402,322	575,128
FCFF	266,185	112,325	154,822	327,628
Margins and Growth				
Revenue Growth Y/Y (%)	6.3%	3.9%	9.5%	11.1%
EBIT margin	16.0%	15.3%	19.3%	25.8%
EBITDA margin	29.8%	-1.0%	38.6%	48.0%
EBITDA Growth Y/Y (%)	15.8%	-0.7%	25.3%	34.4%
Net margin	13.4%	11.8%	14.9%	19.7%
Fully Diluted EPS growth	31.2%	-6.4%	38.5%	46.6%
Ratios				
Effective Tax Rate	23.5%	28.7%	25.0%	25.0%
Interest cover	NM	-	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	9.1%	8.3%	11.1%	14.8%
Valuation				
FCFF yield	3.0%	1.3%	1.8%	3.7%
Dividend yield	1.2%	1.2%	1.3%	1.4%
EV/Revenue	2.6	2.5	2.2	1.9
EV/EBITDA	10.1	9.9	7.8	5.5
P/E	38.3	41.0	29.6	20.2

Summary Investment Thesis and Valuation

Investment Thesis

In MLCCs, demand growth for AI server applications has expanded rapidly thus far, and we expect this to lead to overall MLCC supply/demand conditions becoming tight from FY2026. We thus forecast MLCC price declines to slow from 2H FY2026, and expect price stabilization to accelerate earnings momentum through FY2027.

Valuation

We base our December 2026 price target of ¥7,000 on our FY2028 EPS estimate of ¥314 and a multiple of 22x, derived from the Bloomberg consensus-based sector average P/E of 15.9x as of April 21 and the stock's sector-relative P/E of 1.4x based on two-year forward Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

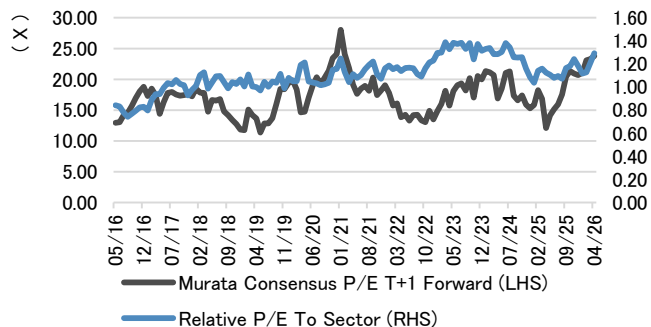
We based our prior December 2026 price target of ¥4,800 on our FY2027 EPS estimate of ¥239 and a multiple of 20.2x, derived from the Bloomberg consensus-based sector average P/E of 14.4x as of March 30 and the stock's sector-relative P/E of 1.4x based on two-year forward Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

Performance Drivers

Market	25%
Sector	7%
Macro	13%
Style	1%
Idiosyn.	54%

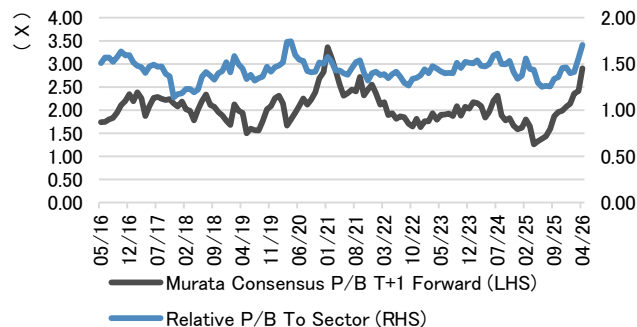
Factors	6M Corr	1Y Corr
Market: MSCI Japan	0.37	0.50
Sect: Technology	0.37	0.30
Macro:		
Japan OECD Leading Indicators	0.27	0.35
Crude Oil	0.24	0.24
Nikkei Japan Manufacturing PMI	-0.05	-0.11
Quant Styles:		
LowVol	-0.32	-0.26
Size	0.33	0.20
Value	-0.41	-0.17

Figure 10: 12-Month Forward Consensus P/E, Sector Relative P/E



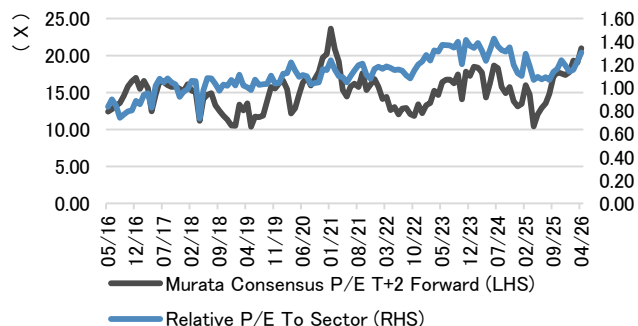
Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Apr 21.

Figure 11: 12-Month Forward Consensus P/B, Sector Relative P/B



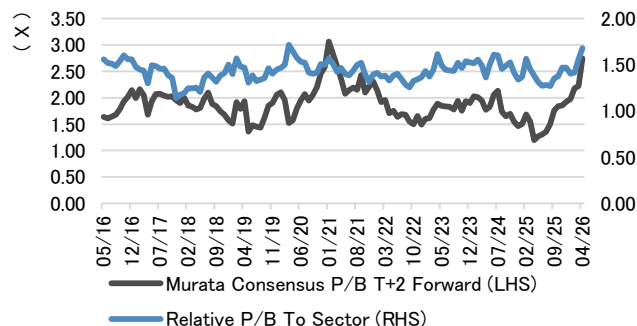
Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Apr 21.

Figure 12: 24-Month Forward Consensus P/E, Sector Relative P/E



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Apr 21.

Figure 13: 24-Month Forward Consensus P/B, Sector Relative P/B



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Apr 21.

Figure 14: Sales and OP Forecasts by Segment (Half Year, Full Year)

JPY mn	FY3/2024		FY3/2025		FY3/2026E		FY3/2027E		FY3/2028E		FY3/2029E		FY3/2030E		FY3/2031E		FY3/2032E		FY3/2033E		FY3/2034E	
	1H	2H	1H	2H	1H	2H	1H	2H	1H	2H	1H	2H	1H	2H	1H	2H	1H	2H	1H	2H	1H	2H
Sales	1,640,158	1,743,362	1,811,931	1,984,896	2,204,865	2,432,463	1,811,931	1,984,896	2,204,865	1,640,000	1,740,000	1,800,000	1,640,000	1,740,000	1,800,000	1,640,000	1,740,000	1,800,000	1,640,000	1,740,000	1,800,000	1,640,000
yoy % chg.	-2.8%	6.3%	3.9%	9.5%	11.1%	10.3%	3.9%	9.5%	11.1%	-5.9%	-0.2%	3.2%	-5.9%	-0.2%	3.2%	-5.9%	-0.2%	3.2%	-5.9%	-0.2%	3.2%	-5.9%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Gross profits	636,797	717,702	755,721	819,844	1,011,984	1,206,248	755,721	819,844	1,011,984	-	-	-	960,346	349,242	380,852	374,809	400,386	419,128	412,146	428,148	529,838	584,727
as a % of sales	38.8%	41.1%	42.2%	41.3%	45.9%	49.6%	41.7%	41.3%	45.9%	-	-	-	41.5%	40.6%	42.2%	41.2%	41.1%	41.5%	44.6%	47.2%	49.0%	50.1%
SGA	243,193	277,681	281,626	284,000	288,000	296,000	243,193	277,681	281,626	284,000	288,000	296,000	135,260	142,542	138,260	143,346	142,000	142,000	144,000	144,000	148,000	158,000
as a % of sales	14.8%	15.9%	15.5%	14.3%	13.1%	12.2%	15.3%	14.3%	13.1%	12.2%	15.3%	14.3%	8.3%	8.1%	7.6%	7.8%	8.1%	8.1%	8.1%	8.1%	8.1%	9.6%
R&D	132,502	149,274	154,736	156,000	160,000	164,000	132,502	149,274	154,736	156,000	160,000	164,000	73,565	75,709	77,995	76,741	78,000	78,000	80,000	80,000	82,000	82,000
as a % of sales	8.1%	8.6%	8.5%	7.9%	7.3%	6.7%	8.1%	8.6%	8.5%	7.9%	7.3%	6.7%	4.5%	4.3%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%	4.4%
Other expense	7,269	16,494	10,854	8,000	8,000	8,000	10,854	8,000	8,000	8,000	8,000	8,000	11,657	5,327	3,978	7,178	4,000	4,000	4,000	4,000	4,000	4,000
Operating profits	215,447	279,702	277,014	383,844	567,984	750,248	215,447	383,844	567,984	220,000	280,000	270,000	125,712	121,530	165,136	111,878	182,386	201,458	269,146	307,358	356,727	393,521
as a % of sales	13.1%	16.0%	15.3%	19.3%	25.8%	30.8%	13.1%	19.3%	25.8%	13.4%	16.1%	15.0%	7.6%	7.0%	9.3%	5.6%	8.2%	9.3%	12.5%	14.2%	15.9%	16.1%
Finest profits	239,404	304,404	299,293	393,844	577,984	760,248	239,404	393,844	577,984	240,000	290,000	280,000	148,144	144,132	194,602	132,408	212,393	233,735	307,811	356,727	407,591	448,808
as a % of sales	14.6%	17.5%	16.5%	19.8%	26.2%	31.3%	14.6%	19.8%	26.2%	14.6%	16.7%	16.3%	9.1%	8.3%	10.8%	7.9%	10.2%	10.8%	13.3%	14.2%	15.6%	16.4%
Net Profits	180,838	233,818	213,800	296,183	434,288	570,986	180,838	296,183	434,288	177,000	220,000	220,000	130,320	103,498	132,379	81,421	140,940	155,244	199,259	235,029	271,695	299,281
as a % of sales	11.0%	13.4%	11.8%	14.9%	19.7%	23.5%	11.0%	14.9%	19.7%	10.8%	12.6%	12.2%	7.9%	6.0%	7.4%	5.0%	8.6%	9.0%	11.4%	12.8%	14.1%	14.6%
R&D	132,502	149,274	154,736	156,000	160,000	164,000	132,502	149,274	154,736	156,000	160,000	164,000	73,565	75,709	77,995	76,741	78,000	78,000	80,000	80,000	82,000	82,000
Depreciation	173,873	173,365	172,896	180,000	180,000	210,000	173,873	180,000	180,000	172,000	171,000	171,000	85,222	88,143	84,960	88,316	90,000	90,000	90,000	90,000	100,000	100,000
Capex	219,531	180,471	250,216	240,000	240,000	260,000	219,531	240,000	240,000	220,000	220,000	220,000	84,668	98,813	75,414	174,802	120,000	120,000	120,000	120,000	130,000	130,000
Inventory	513,024	482,833	-	-	-	-	513,024	482,833	486,808	-	-	-	485,965	482,833	486,808	-	-	-	-	-	-	-
Sales by products																						
Component	933,771	1,033,118	1,156,775	1,300,797	1,461,914	1,639,441	1,156,775	1,300,797	1,461,914	1,053,500	1,112,000	1,150,800	518,364	514,754	565,648	591,127	642,038	658,781	714,600	747,314	799,680	839,760
yoy % chg.	2.1%	10.6%	12.0%	12.5%	12.4%	12.1%	12.0%	12.5%	12.4%	2.0%	7.6%	11.4%	8.2%	7.2%	9.1%	14.8%	13.5%	11.4%	11.3%	13.4%	11.9%	12.4%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Calculator	753,520	831,845	935,710	1,052,787	1,194,063	1,350,161	935,710	1,052,787	1,194,063	848,800	897,800	934,300	471,412	471,412	545,402	604,600	634,600	654,600	684,600	714,600	744,600	774,600
yoy % chg.	2.0%	10.4%	12.5%	12.5%	13.4%	13.1%	12.5%	12.5%	13.4%	2.0%	7.9%	12.2%	13.9%	7.1%	9.0%	16.0%	13.1%	12.0%	12.1%	14.7%	12.8%	13.3%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Industrial EM filter	180,251	201,273	221,065	248,010	267,851	289,279	221,065	248,010	267,851	204,700	214,100	219,500	101,056	101,056	117,000	127,720	132,303	132,303	148,000	158,000	168,000	173,000
yoy % chg.	2.8%	11.7%	9.8%	12.2%	8.0%	8.0%	9.8%	12.2%	8.0%	1.7%	6.4%	9.1%	13.9%	7.8%	9.8%	10.1%	15.3%	9.0%	8.0%	8.0%	8.0%	8.0%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Device & Module	886,236	897,165	841,070	671,099	729,951	760,022	841,070	671,099	729,951	971,100	612,100	633,600	388,595	338,570	329,765	311,305	325,552	345,547	369,894	369,056	368,689	363,334
yoy % chg.	-8.6%	0.3%	-8.0%	4.7%	6.8%	6.9%	-8.6%	4.7%	6.8%	-1.1%	-12.2%	-9.8%	-2.0%	-1.1%	-0.8%	-4.1%	-1.5%	1.8%	2.3%	2.4%	2.4%	2.4%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
HF and Comm Device	440,142	443,602	383,954	377,228	408,521	433,314	383,954	377,228	408,521	342,700	362,700	377,600	226,672	217,930	202,661	181,273	186,151	191,077	199,954	208,567	213,078	220,237
yoy % chg.	-3.0%	0.8%	-13.4%	-1.8%	8.3%	6.1%	-3.0%	-1.8%	8.3%	-22.7%	-18.2%	-14.9%	4.6%	-2.9%	-10.2%	-16.8%	-8.2%	5.4%	7.4%	8.3%	7.9%	8.0%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Energy and Power	164,383	155,741	151,509	179,800	201,500	221,340	151,509	179,800	201,500	132,000	146,600	151,000	83,719	72,422	74,896	76,813	82,150	97,850	100,750	100,750	110,670	110,670
yoy % chg.	-23.4%	-5.3%	-2.7%	16.7%	12.1%	9.8%	-23.4%	16.7%	12.1%	-15.2%	-5.9%	-3.0%	-14.3%	-1.1%	-1.7%	-10.5%	6.4%	9.2%	22.6%	3.3%	9.8%	9.8%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Functional Device	90,701	97,822	105,607	114,071	119,929	125,368	105,607	114,071	119,929	96,500	102,800	105,000	49,204	48,618	52,188	53,419	57,251	56,820	60,191	59,739	62,921	62,447
yoy % chg.	-2.2%	7.9%	8.0%	8.0%	5.1%	4.5%	8.0%	8.0%	5.1%	-1.4%	5.1%	7.3%	7.0%	5.1%	6.1%	9.9%	9.7%	6.4%	5.1%	5.1%	4.5%	4.5%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Others	11,151	13,069	14,085	13,000	13,000	13,000	14,085	13,000	13,000	15,400	15,900	15,900	6,416	6,416	6,416	6,416	6,416	6,416	6,416	6,416	6,416	6,416
yoy % chg.	-4.3%	17.2%	7.8%	-7.7%	0.0%	0.0%	7.8%	-7.7%	0.0%	17.6%	21.7%	19.4%	21.1%	13.6%	12.9%	2.6%	-11.7%	-3.3%	0.0%	0.0%	0.0%	0.0%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Total Sales	1,640,158	1,743,362	1,811,931	1,984,896	2,204,865	2,432,463	1,811,931	1,984,896	2,204,865	1,640,000	1,740,000	1,800,000	1,640,000	1,743,362	1,811,931	1,984,896	2,204,865	2,432,463	1,984,896	2,204,865	2,432,463	2,687,222
yoy % chg.	-2.8%	6.3%	3.9%	9.5%	11.1%	10.3%	-2.8%	6.3%	3.9%	11.1%	-5.9%	0.2%	3.2%	6.3%	3.9%	9.5%	11.1%	10.3%	9.5%	9.5%	10.3%	10.4%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Operating profits																						
Component	234,181	275,150	309,502	369,949	531,507	693,270	309,502	369,949	531,507	-	-	-	150,509	124,641	157,663	151,839	176,293	193,658	243,575	287,932	329,615	363,655
yoy % chg.	25.1%	26.6%	26.6%	28.4%	36.4%	36.4%	25.1%	26.6%	28.4%	36.4%	36.4%	36.4%	25.0%	24.2%	27.0%	25.2%	27.5%	29.4%	34.1%	38.5%	41.2%	43.3%
seq % chg.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Device & Module	12,088	9,892	9,385	18,686	41,277	61,178	9,385	18,686	41,277	12,088	9,892	9,385	9,998	9,998	10,018	36,984	8,493	16,203	18,971	22,306	25,512	32,296
yoy % chg.	-1.9%	1.4%	-4.1%	2.8%	5.7%	7.9%	-1.9%	1.4%	2.8%	1.7%	1.											

Figure 15: Sales and OP Forecasts by Segment (Quarterly)

	FY3/2025				FY3/2026E				FY3/2027E				FY3/2028E				FY3/2029E				FY3/2026	FY3/2026
JPY mn	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	Actual	CoE
																					2025	2026
Sales	421,707	461,774	448,008	411,863	416,154	486,624	467,454	441,699	468,980	505,108	524,463	486,345	519,902	562,093	580,060	542,810	574,430	618,419	639,947	599,667	467,454	429,768
yoy % chg.	14.7%	4.3%	2.0%	5.5%	-1.3%	5.4%	4.3%	7.2%	12.7%	3.8%	12.2%	10.1%	10.9%	11.3%	10.6%	11.6%	10.5%	10.0%	10.3%	10.5%	4.3%	4.3%
qoq % chg.	8.0%	9.5%	-3.0%	-8.1%	1.0%	16.9%	-3.9%	-5.5%	6.2%	7.7%	3.8%	-7.3%	6.9%	8.1%	3.2%	-6.4%	5.8%	7.7%	3.5%	-6.3%	-3.9%	-8.1%
Gross profits	169,447	199,013	180,667	168,575	172,660	208,192	194,867	180,002	191,976	208,410	217,283	202,175	227,934	254,212	270,270	259,568	280,467	304,260	318,601	302,920	194,867	-
as a % of sales	40.2%	43.1%	40.3%	40.9%	41.5%	42.8%	41.7%	40.8%	40.9%	41.3%	41.4%	41.6%	43.8%	45.2%	46.6%	47.8%	48.8%	49.2%	49.8%	50.5%	41.7%	-
SGA	69,838	65,301	68,992	73,550	71,354	66,926	73,346	70,000	71,000	71,000	71,000	71,000	72,000	72,000	72,000	72,000	74,000	74,000	74,000	74,000	73,346	-
as a % of sales	16.6%	14.1%	15.4%	17.9%	17.1%	13.8%	15.7%	15.8%	15.1%	14.1%	13.5%	14.6%	13.8%	12.8%	12.4%	13.3%	12.9%	12.0%	11.6%	12.3%	15.7%	-
R&D	37,852	35,713	36,263	39,446	39,819	38,176	39,741	37,000	39,000	39,000	39,000	39,000	40,000	40,000	40,000	40,000	41,000	41,000	41,000	41,000	39,741	-
as a % of sales	9.0%	7.7%	8.1%	9.6%	9.6%	7.8%	8.5%	8.4%	8.3%	7.7%	7.4%	8.0%	7.7%	7.1%	6.9%	7.4%	7.1%	6.6%	6.4%	6.8%	8.5%	-
Other income	8,524	2,643	1,387	3,940	1,408	2,270	5,176	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	5,176	-
Other expense	3,906	8,845	810	13,978	1,274	1,845	49,080	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	49,080	-
Operating profits	66,375	91,797	75,989	45,541	61,621	103,515	37,876	74,002	82,976	99,410	108,283	93,175	116,934	143,212	159,270	148,568	166,467	190,260	204,601	188,920	37,876	66,988
as a % of sales	15.7%	19.9%	17.0%	11.1%	14.8%	21.3%	8.1%	16.8%	17.7%	19.7%	20.6%	19.2%	22.5%	25.5%	27.5%	27.4%	29.0%	30.8%	32.0%	31.5%	8.1%	15.6%
Pre-tax profits	83,586	80,463	104,528	35,947	62,322	112,460	49,509	75,002	88,976	100,410	112,283	94,175	120,934	144,212	163,270	149,568	170,467	191,260	208,601	189,920	49,509	69,709
as a % of sales	19.8%	17.4%	23.3%	8.7%	15.0%	23.1%	10.6%	17.0%	18.5%	19.9%	21.4%	19.4%	23.3%	25.7%	28.1%	27.6%	29.7%	30.9%	32.6%	31.7%	10.6%	16.2%
Net Profits	66,365	93,955	71,002	32,496	49,714	82,665	24,969	56,452	65,432	75,508	84,412	70,831	90,900	108,359	122,652	112,376	128,051	143,645	156,651	142,640	24,969	62,652
as a % of sales	15.7%	13.8%	15.8%	7.9%	11.9%	17.0%	5.3%	12.8%	14.0%	14.9%	16.1%	14.6%	17.5%	19.3%	21.1%	20.7%	22.3%	23.2%	24.5%	23.8%	5.3%	14.6%
R&D	37,852	35,713	36,263	39,446	39,819	38,176	39,741	37,000	39,000	39,000	39,000	39,000	40,000	40,000	40,000	40,000	41,000	41,000	41,000	41,000	39,700	37,305
Depreciation	42,447	42,775	43,598	44,545	41,950	42,630	44,316	44,000	45,000	45,000	45,000	45,000	47,500	47,500	47,500	47,500	52,500	52,500	52,500	52,500	44,300	42,120
Capex	41,694	42,964	44,829	50,984	34,715	40,699	88,802	86,000	60,000	60,000	60,000	60,000	60,000	60,000	60,000	60,000	65,000	65,000	65,000	65,000	88,800	85,786
Inventory	514,434	485,065	489,762	482,833	489,202	488,608	501,149	-	-	-	-	-	-	-	-	-	-	-	-	-	501,149	-
Sales by products																						
Component	251,596	266,768	264,585	250,169	269,818	295,830	295,493	295,634	315,062	326,974	340,452	318,309	350,789	363,812	363,881	363,433	392,259	407,422	431,151	408,609	295,493	289,659
yoy % chg.	20.8%	8.7%	7.5%	7.0%	7.2%	10.9%	11.7%	18.2%	16.8%	10.5%	15.2%	7.7%	11.3%	11.3%	12.8%	14.2%	11.8%	12.0%	12.3%	12.4%	11.7%	15.8%
qoq % chg.	7.6%	6.0%	-0.8%	-5.4%	7.9%	9.6%	-0.1%	0.0%	6.6%	3.8%	4.1%	-5.5%	10.2%	3.7%	5.5%	-5.3%	7.9%	3.9%	5.8%	-5.2%	-0.1%	-2.0%
Capacitor	203,313	213,999	213,089	201,444	217,330	237,572	239,114	241,694	253,877	260,432	278,821	259,657	284,710	291,946	317,319	300,089	320,893	329,806	359,264	340,198	239,114	237,284
yoy % chg.	20.0%	8.6%	7.6%	6.6%	6.9%	11.0%	12.2%	20.0%	16.8%	9.6%	16.6%	7.4%	12.1%	12.1%	13.8%	15.6%	12.7%	13.0%	13.2%	13.4%	12.2%	17.8%
qoq % chg.	7.6%	5.3%	-0.4%	-5.5%	7.9%	9.3%	0.6%	1.1%	5.0%	2.6%	7.1%	-6.9%	9.6%	2.5%	8.7%	-5.4%	6.9%	2.8%	8.9%	-5.3%	0.6%	-0.8%
Inductor, EM filter	48,283	52,769	51,496	48,725	52,488	58,258	56,379	53,940	61,164	66,543	61,631	58,652	66,079	71,866	66,562	63,344	71,365	77,615	71,887	68,412	56,379	52,375
yoy % chg.	24.2%	9.1%	6.9%	8.7%	8.7%	10.4%	9.5%	10.7%	16.6%	14.2%	9.3%	8.7%	8.0%	9.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	9.5%	7.5%
qoq % chg.	7.7%	9.3%	-2.4%	-5.4%	7.7%	11.0%	-3.2%	-4.3%	13.4%	8.8%	-7.4%	-4.8%	12.7%	8.8%	-7.4%	-4.8%	12.7%	8.8%	-7.4%	-4.8%	-3.2%	-7.1%
Device & Module	167,173	191,422	180,050	158,520	142,634	187,131	168,241	143,064	150,918	174,634	180,511	165,036	166,113	194,782	192,678	176,378	179,172	207,497	205,296	188,058	168,241	135,594
yoy % chg.	6.6%	-1.5%	-5.4%	3.1%	-14.7%	-2.2%	-6.6%	-9.8%	5.8%	-6.7%	7.3%	15.4%	10.1%	11.5%	6.7%	6.9%	7.9%	6.5%	6.5%	6.6%	-6.6%	-14.5%
qoq % chg.	8.7%	14.5%	-5.9%	-12.0%	-10.0%	31.2%	-10.1%	-15.0%	5.5%	15.7%	3.4%	-8.6%	0.7%	17.3%	-1.1%	-6.5%	1.6%	15.8%	-1.1%	-8.4%	-10.1%	-19.4%
HF and Comm Device	99,326	126,346	120,860	97,070	82,075	120,606	102,224	79,049	82,064	104,088	102,921	88,156	86,531	113,423	112,061	96,508	93,309	119,769	118,346	101,881	102,224	72,605
yoy % chg.	13.0%	-1.1%	-7.7%	3.7%	-17.4%	-4.5%	-15.4%	-18.6%	0.0%	-13.7%	0.7%	11.5%	5.4%	9.0%	8.9%	9.5%	7.8%	5.6%	5.6%	5.6%	-15.4%	-25.1%
qoq % chg.	-11.2%	-4.7%	-5.2%	1.8%	-16.1%	-4.7%	12.4%	0.6%	14.9%	4.9%	25.4%	29.6%	22.6%	22.6%	3.2%	3.2%	9.8%	9.8%	9.8%	9.8%	12.4%	-0.6%
Energy and Power	42,628	41,091	34,655	37,367	35,756	39,140	38,948	37,665	41,075	41,075	48,825	48,825	50,375	50,375	50,375	50,375	55,335	55,335	55,335	55,335	38,948	37,156
yoy % chg.	-11.2%	-4.7%	-5.2%	1.8%	-16.1%	-4.7%	12.4%	0.6%	14.9%	4.9%	25.4%	29.6%	22.6%	22.6%	3.2%	3.2%	9.8%	9.8%	9.8%	9.8%	12.4%	-0.6%
qoq % chg.	16.2%	-3.6%	-15.7%	7.8%	-4.3%	9.5%	-0.5%	-3.3%	9.1%	0.0%	18.9%	0.0%	3.2%	0.0%	0.0%	0.0%	9.8%	0.0%	0.0%	0.0%	-0.5%	-4.6%
Functional Device	25,219	23,985	24,535	24,083	24,803	27,385	27,069	26,350	27,779	29,471	28,765	28,055	29,207	30,984	30,242	29,497	30,528	32,393	31,615	30,832	27,069	25,743
yoy % chg.	20.6%	1.9%	7.7%	2.6%	-1.6%	14.2%	10.3%	9.4%	12.0%	7.6%	6.3%	6.5%	5.1%	5.1%	5.1%	5.1%	4.5%	4.5%	4.5%	4.5%	10.3%	6.9%
qoq % chg.	7.5%	-4.9%	2.3%	-1.8%	3.0%	10.4%	-1.2%	-2.7%	5.4%	6.1%	-2.4%	-2.5%	4.1%	6.1%	-2.4%	-2.5%	3.5%	6.1%	-2.4%	-2.5%	-1.2%	-4.9%
Others	2,938	3,584	3,373	3,174	3,702	3,663	3,720	3,000	3,000	3,500	3,500	3,000	3,000	3,500	3,500	3,000	3,000	3,500	3,500	3,000	3,720	4,515
yoy % chg.	17.1%	24.6%	16.4%	10.7%	26.0%	2.2%	10.3%	-5.5%	-19.0%	-4.4%	-5.9%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	10.3%	42.2%
qoq % chg.	2.5%	22.0%	-5.9%	-5.9%	16.6%	-1.1%	1.6%	-19.4%	0.0%	16.7%	0.0%	-14.3%	0.0%	16.7%	0.0%	-14.3%	0.0%	16.7%	0.0%	-14.3%	1.6%	21.4%
Total Sales	421,707	461,774	448,008	411,863	416,154	486,624	467,454	441,699	468,980	505,108	524,463	486,345	519,902	562,093	580,060	542,810	574,430	618,419	639,947	599,667	467,454	429,768
yoy % chg.	14.7%	4.3%	2.0%	5.5%	-1.3%	5.4%	4.3%	7.2%	12.7%	3.8%	12.2%	10.1%	10.9%	11.3%	10.6%	11.6%	10.5%	10.0%	10.3%	10.5%	4.3%	4.3%
qoq % chg.	8.0%	9.5%	-3.0%	-8.1%	1.0%	16.9%	-3.9%	-5.5%	6.2%	7.7%	3.8%	-7.3%	6.9%	8.1%	3.2%	-6.4%	5.8%	7.7%	3.5%	-6.3%	-3.9%	-8.1%
Operating profits																						
Component	73,663	76,848																				

Source: Company data, J.P. Morgan estimates.

Figure 17: Balance Sheet

FY	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026E	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2024	FY3/2025	FY3/2026
JPY mn	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	1Q	2Q	3Q
Assets														
Cash and Cash Equivalents	279,101	376,160	450,796	568,441	493,253	641,539	675,833	578,941	628,404	843,392	1,173,369	474,170	560,074	565,080
Accounts Receivable	274,109	281,032	340,871	358,310	270,618	292,736	294,419	306,001	335,211	372,360	410,797	280,339	332,086	320,704
Inventories	349,315	334,408	361,331	464,723	575,026	513,024	482,833	497,219	548,458	561,558	577,250	589,133	559,030	514,334
Other Current Assets	31,416	35,627	31,182	43,732	69,193	52,463	44,850	44,850	44,850	44,850	44,850	79,649	45,911	72,397
Total Current Assets	933,941	1,027,227	1,184,180	1,435,206	1,408,090	1,499,762	1,497,935	1,427,010	1,556,923	1,822,160	2,206,266	1,423,291	1,497,101	1,472,515
Tangible Fixed Assets	856,453	1,002,210	1,078,838	1,116,602	1,188,198	1,184,608	1,183,727	1,261,047	1,321,047	1,371,047	1,421,047	1,175,976	1,200,952	1,202,404
Investments and Other Assets	258,499	220,793	199,243	257,363	276,475	353,525	346,532	346,532	346,532	346,532	346,532	317,626	324,377	313,137
Total Investments	66,897	49,059	41,438	34,618	39,248	47,433	40,489	40,489	40,489	40,489	40,489	40,306	41,142	40,694
Deferred Tax Assets	42,065	42,220	37,796	26,562	42,952	47,454	52,675	52,675	52,675	52,675	52,675	38,254	39,553	33,545
Right of use asset	0	0	0	0	59,402	64,204	64,204	64,204	64,204	64,204	64,204	53,116	54,551	58,120
Intangible Assets	47,526	38,576	33,524	47,141	39,375	39,049	40,647	40,647	40,647	40,647	40,647	39,475	39,060	38,386
Goodwill	78,389	73,032	71,058	118,014	123,247	137,144	135,746	135,746	135,746	135,746	135,746	132,213	135,384	130,006
Other non current asset	23,822	17,906	15,427	31,028	31,653	23,043	12,771	12,771	12,771	12,771	12,771	14,262	14,687	12,386
Total Non Current Assets	1,114,952	1,223,003	1,278,081	1,373,965	1,464,673	1,538,133	1,530,259	1,607,579	1,667,579	1,717,579	1,767,579	1,493,002	1,525,329	1,515,541
Total Assets	2,048,893	2,250,230	2,462,261	2,809,171	2,872,763	3,037,895	3,028,194	3,034,589	3,224,502	3,539,739	3,973,845	2,916,893	3,022,430	2,988,056
Liabilities and Equity														
Accounts Payable	75,491	79,330	85,927	93,842	65,597	67,620	69,617	71,691	79,079	80,968	83,231	65,039	60,951	61,463
Short-term debt	23,007	51,000	40,079	0	120,391	106,516	49,647	49,847	49,847	49,847	49,847	117,441	154,735	153,647
Accrued expense	122,658	118,865	143,425	161,813	-	-	-	-	-	-	-	15,489	16,812	23,927
Accrued Taxes	38,315	28,294	41,525	59,228	14,184	26,964	30,952	30,952	30,952	30,952	30,952	7,970	8,708	9,766
Lease Liabilities	0	6,691	6,955	6,375	6,929	9,256	10,043	10,043	10,043	10,043	10,043	863	854	844
Deferred Income	0	0	0	0	0	883	883	883	883	883	883	883	883	883
Deferred Tax Liabilities	-	-	-	-	2,859	1,529	2,170	2,170	2,170	2,170	2,170	2,940	1,908	1,837
Others	0	0	0	0	93,637	104,947	113,005	113,005	113,005	113,005	113,005	79,187	97,468	83,966
Total Current Liabilities	259,771	284,300	317,911	321,258	303,597	317,617	278,517	278,591	285,979	287,868	290,131	288,929	341,436	335,450
LT Debts	100,407	149,971	110,625	110,979	51,464	6,567	6,399	6,399	6,399	6,399	6,399	54,538	4,982	5,127
Operating Lease Liabilities	0	28,408	25,051	25,627	32,626	43,848	47,513	47,513	47,513	47,513	47,513	38,971	39,268	42,195
Deferred Revenue	-	-	-	-	20,387	19,131	19,131	19,131	19,131	19,131	19,131	19,451	19,432	19,035
Deferred Tax Liabilities	6,673	5,444	7,603	13,233	10,601	10,946	12,081	12,081	12,081	12,081	12,081	10,027	12,965	13,357
Retirement Benefit Liabilities	75,789	84,602	74,005	64,566	63,261	70,679	74,834	74,834	74,834	74,834	74,834	70,449	70,202	70,149
Allowance	-	-	-	-	-	8,034	7,435	7,435	7,435	7,435	7,435	9,179	9,173	7,849
Others	1,713	2,498	5,421	-	51,272	4,208	4,309	4,309	4,309	4,309	4,309	3,477	3,435	3,472
Total Non Current Liabilities	194,592	271,123	222,705	224,001	209,224	164,689	171,702	171,702	171,702	171,702	171,702	206,092	159,457	161,184
Minority Interests	564	703	840	316	-35	-538	-830	-1,091	-1,891	-2,691	-3,491	-239	-287	-378
Capital Stock	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444	69,444
Capital Surplus	120,702	120,775	120,880	121,004	121,116	121,231	99,354	99,354	99,354	99,354	99,354	121,160	121,141	121,186
Retained Earnings	1,493,697	1,616,783	1,786,660	2,024,368	2,246,258	2,332,018	2,400,684	2,505,266	2,688,591	3,002,739	3,435,383	2,249,127	2,324,413	2,326,418
Treasury Shares	-53,594	-53,563	-53,552	-53,538	-133,494	-133,441	-133,192	-235,192	-235,192	-235,192	-235,192	-133,496	-133,435	-133,439
Other Equity	-26,273	-59,335	-2,627	102,318	56,653	166,895	146,515	146,515	146,515	146,515	146,515	115,876	140,261	108,191
Shareholders' Equity	1,603,976	1,694,104	1,920,805	2,263,596	2,359,977	2,556,147	2,580,805	2,585,387	2,768,712	3,082,860	3,515,504	2,422,111	2,521,824	2,491,800
Total Liabilities and Equity	2,048,893	2,250,230	2,462,261	2,809,171	2,872,763	3,037,895	3,028,194	3,034,589	3,224,502	3,539,739	3,973,845	2,916,893	3,022,430	2,988,056
Efficiency Analysis														
Total Asset Turnover	0.82	0.71	0.69	0.69	0.59	0.55	0.57	0.60	0.63	0.65	0.65	0.51	0.60	0.58
Turnover Period (Months)	445.63	511.45	527.56	530.77	614.75	657.68	635.02	610.65	575.49	559.89	563.72	718.40	612.17	624.11
Tangible Fixed Asset Turnover	2.02	1.65	1.57	1.65	1.48	1.38	1.47	1.48	1.54	1.64	1.74	1.24	1.49	1.46
Turnover Period (Months)	180.95	221.12	232.97	221.06	249.36	264.02	247.93	246.24	237.41	222.83	209.48	293.36	244.99	249.56
Accounts Receivable Turnover	5.92	5.53	5.24	5.18	5.36	5.82	5.94	6.04	6.19	6.23	6.21	5.34	5.78	5.38
Turnover Period (Months)	61.64	66.04	69.62	70.40	68.05	62.68	61.47	60.48	58.96	58.57	58.76	68.37	63.12	67.78
Inventory Turnover	3.05	2.79	2.90	2.53	1.94	1.84	2.06	2.16	2.23	2.15	2.15	1.54	1.83	2.01
Turnover Period (Months)	119.74	130.99	125.97	144.36	187.70	197.20	169.34	163.80	169.82	169.49		237.14	199.04	181.30
Inventory Turnover (Sales-Based)	4.29	4.61	4.41	3.95	3.49	3.10	3.29	3.56	3.47	3.58	3.87	2.39	2.56	3.30
Turnover Period (Months)	85.08	79.22	82.77	92.48	104.69	117.72	110.81	102.60	105.32	102.06	94.26	152.81	142.47	110.63
Accounts Payable Turnover	5.75	6.15	6.10	5.81	6.34	7.53	7.47	7.47	7.73	7.45	7.47	6.88	8.36	8.83
Turnover Period (Months)	63.49	59.32	59.84	62.83	57.57	48.46	48.84	48.83	47.23	48.97	48.88	53.22	43.68	41.35
Liquidity Turnover Ratio	6.31	4.68	3.94	3.56	3.18	2.89	2.65	2.89	3.29	3.00	2.41	3.04	3.42	3.12
Turnover Period (Months)	57.88	77.95	92.58	102.63	114.87	126.27	137.91	126.38	111.01	121.82	151.31	120.04	106.60	116.83
Investment Securities Turnover	20.46	26.50	36.03	47.66	45.67	37.84	39.66	44.75	49.02	54.46	60.08	36.98	43.48	42.95
Turnover Period (Months)	17.84	13.77	10.13	7.66	7.99	9.64	9.20	8.16	7.45	6.70	6.08	9.87	8.39	8.50
ROE	13.52%	11.10%	13.12%	15.01%	10.97%	7.36%	9.10%	8.28%	11.06%	14.84%	17.31%	8.04%	8.34%	8.39%
Financial Leverage	1.28	1.33	1.28	1.24	1.22	1.19	1.17	1.17	1.16	1.15	1.13	1.24	1.49	1.46
Debt to Asset Ratio	0.28	0.33	0.28	0.24	0.22	0.19	0.17	0.17	0.17	0.15	0.13	0.302	0.373	0.373
Debt Ratio	0.28	0.33	0.28	0.24	0.22	0.19	0.17	0.17	0.17	0.16	0.15	0.13	0.16	0.15
Net Debt to Equity	-0.10	-0.10	-0.16	-0.20	-0.14	-0.21	-0.24	-0.20	-0.21	-0.26	-0.32	-0.32	-0.49	-0.49
Interest Coverage Ratio	-832.24	-494.82	-815.73	-1,333.52	-889.21	-	-	-	-	-	-	-	-	-
Debt to Asset Ratio (Market Value)	0.12	0.16	0.11	0.10	0.11	0.09	0.09	0.09	0.09	0.09	0.09	0.12	0.16	0.11
Debt Ratio (Market Value)	0.12	0.16	0.11	0.10	0.11	0.09	0.09	0.09	0.09	0.09	0.09	0.12	0.16	0.11
Current Ratio	3.60	3.61	3.72	4.47	4.64	4.72	5.42	5.12	5.44	6.33	7.60	3.60	3.61	3.72
Quick Ratio	2.25	2.44	2.59	3.02	2.74	3.11	3.67	3.34	3.53	4.38	5.61	2.25	2.44	2.59
Total Asset Growth Rate	14.02%	9.83%	9.42%	14.09%	2.26%	5.76%	0.32%	0.21%	6.28%	9.78%	12.26%	14.02%	9.83%	9.42%
Tangible Fixed Asset Growth Rate	21.44%	17.02%	7.65%	3.50%	6.41%	-0.30%	-0.07%	6.53%	4.76%	3.78%	3.65%	21.44%	17.02%	7.65%

Source: Company data, J.P. Morgan estimates.

Figure 18: Cash Flow Statement

FY	FY3/2017	FY3/2018	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026E	FY3/2027E	FY3/2028E	FY3/2029E
JPY mn													
Net Income	156,060	146,086	206,930	183,012	237,057	314,124	253,690	180,838	233,818	213,800	296,183	434,288	570,986
Minority Interest	16	-34	29	-30	-32	-245	-295	-502	-845	-261	-800	-800	-800
Depreciation	113,523	141,625	124,359	140,267	143,074	155,583	161,276	175,873	173,365	172,896	180,000	190,000	210,000
Change in Working Capital	-7,306	-91,568	-93,874	11,823	-80,165	-112,916	-50,856	41,907	30,505	-23,893	-73,061	-48,360	-51,867
Change in Other Current Assets	-17,987	61,501	17,307	-11,514	42,380	22,961	-135,268	42,602	21,185	0	0	0	0
CAPEX	-158,579	-306,608	-291,581	-281,599	-196,660	-152,786	-208,111	-219,531	-180,471	-250,216	-240,000	-240,000	-260,000
Change in Investments	-3,337	16,180	20,591	17,638	7,621	6,820	-4,630	-8,185	6,944	0	0	0	0
Change in Intangible assets	-5,539	-20,276	5,346	14,307	7,026	-60,573	2,533	-13,571	-200	0	0	0	0
Change in Other Fixed Assets	-34,665	-14,972	4,020	42,738	-2,169	-3,425	27,723	-54,952	7,450	0	0	0	0
FCF	42,186	-68,066	-6,873	116,642	158,132	169,543	46,062	144,479	291,751	112,325	162,322	335,128	468,319
Change in Interest Bearing Debt	36,916	-32,421	109,172	77,557	-50,267	-39,725	60,876	-58,772	-56,837	0	0	0	0
Dividends	-46,802	-55,445	-59,499	-62,060	-73,579	-83,178	-94,459	-98,240	-106,155	-109,218	-112,858	-120,140	-138,343
Treasury Stock	4,551	2,213	2	31	11	14	-79,956	53	-1,751	-100,000	0	0	0
CF from Other Financial Activities	11,851	8,927	-57	-30,855	63,212	111,831	17,106	113,519	-101,254	-0	0	0	0
CF	48,702	-144,792	42,745	101,315	97,509	158,485	-50,371	101,039	25,754	-96,892	49,463	214,988	329,977
Cash and Cash Equivalents	397,373	220,439	279,101	376,160	450,796	568,441	493,253	641,539	675,833	578,941	628,404	843,392	1,173,369
ROE	12.08%	10.39%	13.52%	11.10%	13.12%	15.01%	10.97%	7.36%	9.10%	8.28%	11.06%	14.84%	17.31%
ROA	9.90%	8.51%	10.76%	8.51%	10.06%	11.92%	8.93%	6.12%	7.71%	7.05%	9.46%	12.84%	15.20%
Total Asset Turnover	0.72	0.80	0.82	0.71	0.69	0.69	0.59	0.55	0.57	0.60	0.63	0.65	0.65
Equity Ratio	82.86%	81.06%	78.29%	75.29%	78.01%	80.58%	82.15%	84.14%	85.23%	85.20%	85.86%	87.09%	88.47%
DuPont System													
ROE	12.08%	10.39%	13.52%	11.10%	13.12%	15.01%	10.97%	7.36%	9.10%	8.28%	11.06%	14.84%	17.31%
Net Profit Margin	13.74%	10.65%	13.14%	11.93%	14.54%	17.33%	15.04%	11.03%	13.41%	11.80%	14.92%	19.70%	23.47%
Total Asset Turnover	0.72	0.80	0.82	0.71	0.69	0.69	0.59	0.55	0.57	0.60	0.63	0.65	0.65
Financial Leverage Ratio	1.21	1.23	1.28	1.33	1.28	1.24	1.22	1.19	1.17	1.17	1.16	1.15	1.13

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Murata Manufacturing (6981) *(Overweight; Price Target: ¥7,000)*

Investment Thesis

In MLCCs, demand growth for AI server applications has expanded rapidly thus far, and we expect this to lead to overall MLCC supply/demand conditions becoming tight from FY2026. We thus forecast MLCC price declines to slow from 2H FY2026, and expect price stabilization to accelerate earnings momentum through FY2027.

Valuation

We base our December 2026 price target of ¥7,000 on our FY2028 EPS estimate of ¥314 and a multiple of 22x, derived from the Bloomberg consensus-based sector average P/E of 15.9x as of April 21 and the stock's sector-relative P/E of 1.4x based on two-year forward Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

Risks to Rating and Price Target

Upside Scenario to Target Price/Rating

- Market share grows further in RF FEMs for major smartphone makers
- Automotive MLCC inventory adjustment ends earlier than expected
- MLCC price hikes

Downside Scenario to Target Price/Rating

- Market share falls in RF FEMs
- Battery business losses widen again
- Tight MLCC supply/demand conditions are prolonged
- End demand is weaker than expected due to tight memory supply/demand or other factors
- AI cycle peaks out

Murata Manufacturing (6981): Summary of Financials

Income Statement					Cash Flow Statement				
	2025/3A	2026/3E	2027/3E	2028/3E		2025/3A	2026/3E	2027/3E	2028/3E
Revenue	1,743,352.0	1,811,930.5	1,984,896.3	2,204,864.8	Cash flow from operating activities	465,478	362,541	402,322	575,128
COGS	(1,025,650)	(1,056,209)	(1,165,052)	(1,192,881)	o/w Depreciation & amortization	173,365	172,896	180,000	190,000
Gross profit	717,702	755,721	819,844	1,011,984	o/w Changes in working capital	30,505	(23,893)	(73,061)	(48,360)
SG&A	(277,681)	(281,626)	(284,000)	(288,000)	Cash flow from investing activities	(173,727)	(250,216)	(240,000)	(240,000)
EBITDA	453,067	449,910	563,844	757,984	o/w Capital expenditure	(180,471)	(250,216)	(240,000)	(240,000)
D&A	(173,365)	(172,896)	(180,000)	(190,000)	as % of sales	10.4%	13.8%	12.1%	10.9%
EBIT	279,702.0	277,014.3	383,844.3	567,984.0	Cash flow from financing activities	(265,997)	(209,218)	(112,858)	(120,140)
Net Interest	24,593	20,000	10,000	10,000	o/w Dividends paid	(106,155)	(109,218)	(112,858)	(120,140)
PBT	304,404.0	299,293.3	393,844.3	577,984.0	o/w Shares issued/(repurchased)	(1,751)	(100,000)	0	0
Tax	(71,431)	(85,755)	(98,461)	(144,496)	o/w Net debt issued/(repaid)	(56,837)	0	0	0
Minority Interest	845	261	800	800					
Net Income	233,818	213,800	296,183	434,288					
Reported EPS	125.5	117.5	162.7	238.6	Net change in cash	25,754	(96,892)	49,463	214,988
DPS	57.00	60.00	62.00	66.00	Adj. Free cash flow to firm	266,185	112,325	154,822	327,628
Payout ratio	45.4%	51.1%	38.1%	27.7%	y/y Growth	79.6%	-57.8%	37.8%	111.6%
Shares outstanding	1,862	1,820	1,820	1,820					
Balance Sheet					Ratio Analysis				
	2025/3A	2026/3E	2027/3E	2028/3E		2025/3A	2026/3E	2027/3E	2028/3E
Cash and cash equivalents	675,833.0	578,940.6	628,404.0	843,392.2	Gross margin	41.2%	41.7%	41.3%	45.9%
Accounts receivable	294,419	306,001	335,211	372,360	EBITDA margin	26.0%	24.8%	28.4%	34.4%
Inventories	482,833	497,219	548,458	561,558	EBIT margin	16.0%	15.3%	19.3%	25.8%
Other current assets	822,102	848,070	928,519	978,768	Net profit margin	13.4%	11.8%	14.9%	19.7%
Current assets	1,497,935	1,427,010	1,556,923	1,822,160	ROE	9.1%	8.3%	11.1%	14.8%
PP&E	1,183,727	1,261,047	1,321,047	1,371,047	ROA	7.7%	7.1%	9.5%	12.8%
LT investments	-	-	-	-	ROCE	8.1%	7.5%	10.5%	14.3%
Other non current assets	346,532	346,532	346,532	346,532	SG&A/Sales	15.9%	15.5%	14.3%	13.1%
Total assets	3,028,194	3,034,589	3,224,502	3,539,739	Net debt/Equity	NM	NM	NM	NM
Short term borrowings	49,847	49,847	49,847	49,847	Net debt/EBITDA	NM	NM	NM	NM
Payables	69,617	71,691	79,079	80,968	Sales/Assets (x)	0.6	0.6	0.6	0.7
Other short term liabilities	157,053	157,053	157,053	157,053	Assets/Equity (x)	1.2	1.2	1.2	1.2
Current liabilities	276,517	278,591	285,979	287,868	Interest cover (x)	NM	-	NM	NM
Long-term debt	6,399	6,399	6,399	6,399	Operating leverage	474.0%	-24.4%	404.0%	432.9%
Other long term liabilities	37,274	37,274	37,274	37,274	Tax rate	23.5%	28.7%	25.0%	25.0%
Total liabilities	448,219	450,293	457,681	459,570					
Shareholders' equity	2,580,805.0	2,585,386.9	2,768,711.8	3,082,860.2	Revenue y/y Growth	6.3%	3.9%	9.5%	11.1%
Minority interests	(830)	(1,091)	(1,891)	(2,691)	EBITDA y/y Growth	15.8%	-0.7%	25.3%	34.4%
Total liabilities & equity	3,028,194	3,034,589	3,224,502	3,539,739	EPS y/y growth	31.2%	-6.4%	38.5%	46.6%
BVPS	1386.2	1420.9	1522.1	1695.1					
y/y Growth	2.4%	2.5%	7.1%	11.4%					
Net debt/(cash)	(619,587)	(522,695)	(572,158)	(787,146)					
Valuation						2025/3A	2026/3E	2027/3E	2028/3E
					P/E (x)	38.3	41.0	29.6	20.2
					P/BV (x)	3.5	3.4	3.2	2.8
					EV/EBITDA (x)	10.1	9.9	7.8	5.5
					Dividend Yield	1.2%	1.2%	1.3%	1.4%

Source: Company reports and J.P. Morgan estimates.

Note: ¥ in millions (except per-share data). Fiscal year ends Mar. o/w - out of which

Overweight

6976.T, 6976 JP
Price (23 Apr 26):¥6,208

▲ **Price Target (Dec-26):¥9,500**
Prior (Dec-26):¥5,700

Japan Equity Research

Technology - Electronic Components

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Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	52	67	54	54	45
Growth	18	16	87	94	21
Momentum	14	56	96	98	23
Quality	89	92	87	63	49
Low Vol	87	85	81	78	58

Taiyo Yuden (6976)

Raising price target, factoring in prolonged MLCC supply/demand tightness

We raise our December 2026 price target to ¥9,500 from ¥5,700 and maintain our Overweight rating. We leave our FY2025–27 earnings estimates unchanged and introduce new FY2028 forecasts. We now base our price target on our FY2028 estimates, assuming that supply/demand conditions remain tight, as demand for AI server applications continues to grow, and that MLCC prices will continue to stabilize. The supply/demand balance for other applications has tightened since March, affected by MLCC demand growth for AI servers, while demand for cutting-edge products has also started to climb steeply in AI server applications, too, and we estimate that MLCC supply/demand tightness will persist as AI services become more sophisticated.

- **Earnings estimates:** We maintain our operating profit estimates for FY2025–2027 (assuming ¥155/\$) at ¥21.9 billion in FY2025 (guidance: ¥21.0 billion, Bloomberg consensus estimate: ¥21.5 billion), ¥37.7 billion in FY2026 (Bloomberg consensus: ¥35.1 billion), and ¥74.3 billion in FY2027 (Bloomberg consensus: ¥51.0 billion). For FY2028, we expect operating profit to continue to rise sharply, reaching ¥110.0 billion, on the assumption that MLCC prices remain stable on a like-for-like basis, as in FY2027. Under ordinary conditions we estimate that falling prices have an overall-company impact on Taiyo Yuden of ¥20 billion (¥70–80 billion for MLCCs in isolation), and we think it will maintain robust profit growth momentum as this negative impact is substantially mitigated (we do not expect any MLCC price cuts).
- We forecast a revenue CAGR of over 10% for MLCCs, mainly for AI servers. In terms of earnings, we expect profits to rise sharply as prices on a like-for-like basis remain stable, as was the case during periods of tight supply-demand in 2017–18 and 2020–21. At this point, we only factor in stabilizing MLCC prices, but if Taiyo Yuden were to raise prices in response to supply-demand constraints, further earnings upside is likely. We do not currently expect Taiyo Yuden to initiate price hikes itself, but if competitors do so, we think the company would likely follow suit to avoid an order rush. We also factor into our model an easing of downward price pressure starting in 2H FY2026 and price stabilization starting in FY2027. However, given the tight supply/demand conditions since Jan–Mar 2026, prices could substantially stabilize as a result of price negotiations as soon as Jul–Sep (we expect prices to fully stop falling in FY2027, though, as annual plans for automotive applications have been finalized). We also factor in tight supply/demand conditions through FY2028, but if the AI cycle is prolonged, further earnings growth could be expected in FY2029 onward.
- We expect a gradual improvement in the inductor business. We envision demand growth for general purpose server DRAM applications, as well as for MCOIL in automotive and other uses. Wound ferrite inductors are mainly used for AI server applications at present, but we think business opportunities for Taiyo Yuden's MCOIL could emerge if rising TDP and a shift to vertical power delivery lead to the adoption of high-density, multilayer VRM with higher current tolerance, and if higher power density and higher operating frequencies lift demand for high magnetic flux saturation density and high-temperature stability, and we will keep a close eye on these. We expect losses on communication devices in the integrated modules & devices segment to gradually narrow owing to a reduction in unprofitable products and fixed cost reductions.

Price Performance



	YTD	1m	3m	12m
Abs	75.4%	58.1%	73.4%	198.8%
Rel	66.4%	51.5%	71.0%	155.0%

Company Data

Shares O/S (mn)	125
52-week range (¥)	6,409-2,041
Market cap (\$ bn)	4.9
Exchange rate	159.48
Free float (%)	93.3%
3M ADV (mn)	2.87
3M ADV (\$ mn)	80.5
Volatility (90 Day)	65
Index	TOPIX
BBG ANR (Buy Hold Sell)	9 6 2

Key Metrics (FYE Mar)

¥ in millions	2025/3A	2026/3E	2027/3E	2028/3E
Financial Estimates				
Revenue	341,438.0	353,728.5	386,396.2	424,970.2
EBITDA	56,717	70,688	86,731	125,269
EBIT	10,459.0	21,859.9	37,731.4	74,269.3
Net income	2,328	16,023	23,965	49,176
Reported EPS	17.1	117.4	175.6	360.3
BBG EPS	46.79	112.26	191.50	288.77
Cashflow from operations	31,399	61,992	60,746	91,102
FCFF	(32,943)	16,076	10,332	38,688
Margins and Growth				
Revenue Growth Y/Y (%)	5.8%	3.6%	9.2%	10.0%
EBIT margin	3.1%	6.2%	9.8%	17.5%
EBITDA Growth	15.2%	109.0%	72.6%	96.8%
EBITDA margin	16.6%	20.0%	22.4%	29.5%
EBITDA Growth Y/Y (%)	17.0%	24.6%	22.7%	44.4%
Net margin	0.7%	4.5%	6.2%	11.6%
Fully Diluted EPS growth	-72.0%	588.3%	49.6%	105.2%
Ratios				
Effective Tax Rate	72.2%	32.3%	31.0%	31.0%
Interest cover	NM	270.8	NM	NM
Net debt/Equity	0.3	0.3	0.2	0.1
Net debt/EBITDA	1.5	1.2	0.9	0.4
ROE	0.7%	5.0%	7.3%	13.8%
Valuation				
FCFF yield	-3.9%	1.9%	1.2%	4.6%
Dividend yield	1.4%	1.4%	1.4%	1.4%
EV/Revenue	1.4	1.4	2.0	1.8
EV/EBITDA	8.6	7.0	8.9	5.9
P/E	363.9	52.9	35.4	17.2

Summary Investment Thesis and Valuation

Investment Thesis

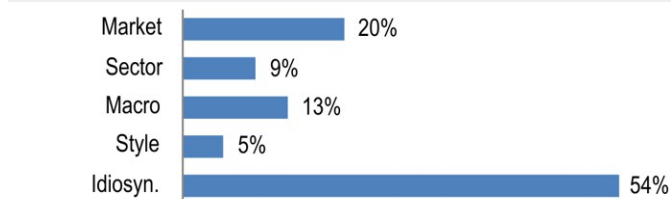
We expect growth in demand for MLCCs for AI servers, which has grown rapidly, to lead to supply-demand tightening for MLCCs as a whole from FY2026 onward. As a result, we expect the pace of MLCC price declines to slow from 2H FY2026 onward and prices to stabilize heading into FY2027, accelerating earnings momentum.

Valuation

We base our December 2026 price target of ¥9,500 on our FY2028 EPS estimate of ¥541 (fully diluted) and a P/E of 17.6x, derived from the Bloomberg consensus-based sector average P/E of 15.9x as of April 21, and the stock's sector relative P/E of 1.1x based on two-year forward Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

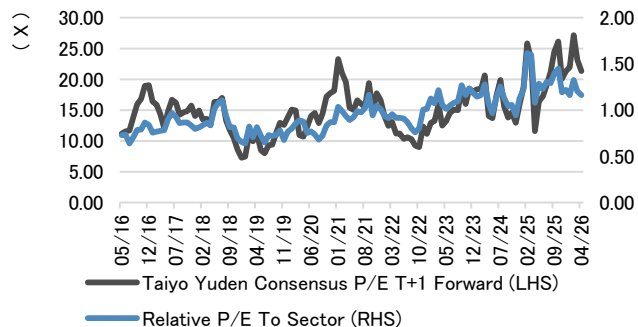
We based our prior December 2026 price target of ¥5,700 on our FY2027 EPS estimate of ¥360 (fully diluted) and a P/E of 15.8x, derived from the Bloomberg consensus-based sector average P/E of 14.4x as of March 30 and the stock's sector relative P/E of 1.1x based on two-year forward Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

Performance Drivers



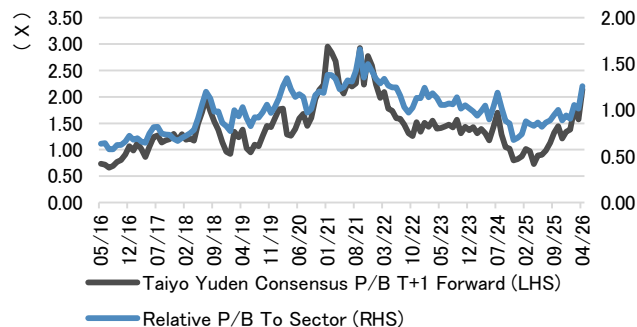
Factors	6M Corr	1Y Corr
Market: MSCI Japan	0.44	0.45
Sect: Technology	0.33	0.34
Macro:		
Japan OECD Leading Indicators	0.40	0.38
MSCI ACWI ex Japan	0.22	0.22
Crude Oil	0.18	0.15
Quant Styles:		
LowVol	-0.48	-0.36
Size	0.43	0.33
Value	-0.45	-0.22

Figure 19: 12-Month Forward Consensus P/E, Sector Relative P/E



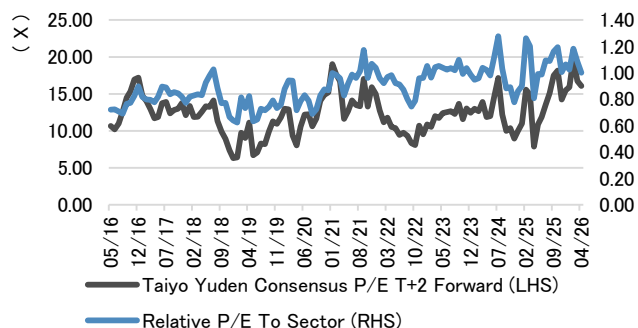
Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Apr 21.

Figure 20: 12-Month Forward Consensus P/B, Sector Relative P/B



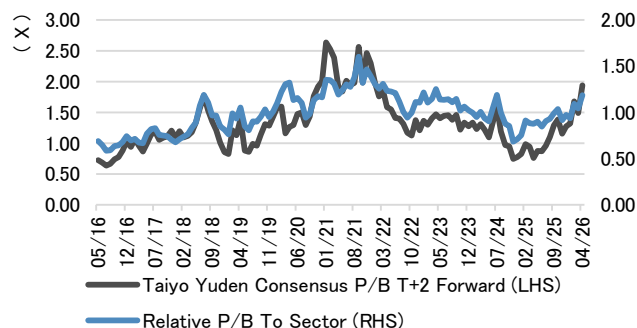
Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Apr 21.

Figure 21: 24-Month Forward Consensus P/E, Sector Relative P/E



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Apr 21.

Figure 22: 24-Month Forward Consensus P/B, Sector Relative P/B



Source: Bloomberg Finance L.P. estimates, J.P. Morgan.
Note: Share price and consensus as of Apr 21.

Source: Company data, J.P. Morgan estimates.

Figure 24: Sales and OP Forecasts by Segment (Quarterly)

FY JPY mn	FY3/2025				FY3/2026E				FY3/2027E				FY3/2028E				FY3/2029E				FY3/2026 2HE
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	CoE 26/2
					JPM				JPM				JPM				JPM				
Sales	81,138	86,718	86,868	86,714	84,810	92,814	88,515	87,589	93,438	98,052	101,874	93,032	101,546	106,897	113,367	103,159	111,720	116,465	123,808	112,843	87,861
yoy % chg.	11.7%	4.7%	0.6%	7.3%	4.5%	7.0%	1.9%	1.0%	10.2%	5.6%	15.1%	6.2%	8.7%	9.0%	11.3%	10.9%	10.0%	8.9%	9.2%	9.4%	1.3%
qoq % chg.	0.4%	6.9%	0.2%	-0.2%	-2.2%	9.4%	-4.6%	-1.0%	6.7%	4.9%	3.9%	-8.7%	9.2%	5.3%	6.1%	-9.0%	8.3%	4.2%	6.3%	-8.9%	-0.7%
Gross profits	17,482	19,884	16,342	17,863	18,184	21,473	22,955	21,341	22,921	25,799	28,171	24,933	30,161	34,574	39,273	36,355	40,902	44,224	48,524	44,443	-
as a % of sales	21.5%	22.9%	18.8%	20.6%	21.4%	23.1%	25.9%	24.4%	24.5%	26.3%	27.7%	26.8%	29.7%	32.3%	34.6%	35.2%	36.6%	38.0%	39.2%	39.4%	-
SGA	14,852	14,938	15,516	15,806	15,042	15,591	15,460	16,000	15,542	16,091	15,960	16,500	16,042	16,591	16,460	17,000	16,542	17,091	16,960	17,500	-
as a % of sales	18.3%	17.2%	17.9%	18.2%	17.7%	16.8%	17.5%	18.3%	16.6%	16.4%	15.7%	17.7%	15.8%	15.5%	14.5%	16.5%	14.8%	14.7%	13.7%	15.5%	-
Operating profits	2,630	4,946	826	2,057	3,142	5,882	7,495	5,341	7,379	9,708	12,211	8,433	14,119	17,983	22,813	19,355	24,360	27,133	31,564	26,843	4,481
yoy % chg.	-	81.8%	-83.1%	1.0%	19.5%	18.9%	807.4%	159.6%	134.9%	65.0%	62.9%	57.9%	91.3%	85.2%	86.8%	129.5%	72.5%	50.9%	38.4%	39.2%	117.8%
qoq % chg.	29.2%	88.1%	-83.3%	149.0%	52.7%	87.2%	27.4%	-28.7%	38.2%	31.6%	25.8%	-30.9%	67.4%	27.4%	26.9%	-15.2%	25.9%	11.4%	16.3%	-14.6%	-40.2%
as a % of sales	3.2%	5.7%	1.0%	2.4%	3.7%	6.3%	8.5%	6.1%	7.9%	9.9%	12.0%	9.1%	13.9%	16.8%	20.1%	18.8%	21.8%	23.3%	25.5%	23.9%	5.1%
Pretax profits	8,377	-1,618	6,926	-3,168	256	7,850	11,694	5,491	7,529	9,958	12,361	8,583	14,269	18,133	22,963	19,505	24,510	27,263	31,714	27,093	2,200
as a % of sales	10.3%	-1.9%	8.0%	-3.7%	0.3%	8.5%	13.2%	6.3%	8.1%	10.1%	12.1%	9.2%	14.1%	17.0%	20.3%	18.9%	21.9%	23.4%	25.6%	24.0%	2.5%
Pretax profits	8,185	-2,920	6,805	-3,708	73	7,345	11,555	4,591	6,629	8,958	11,461	7,683	13,369	17,233	22,063	18,505	23,610	26,393	30,814	26,193	0
as a % of sales	10.1%	-3.4%	7.8%	-4.3%	0.1%	7.9%	13.2%	5.2%	7.1%	9.1%	11.3%	8.3%	13.2%	16.1%	19.5%	18.0%	21.1%	22.7%	24.9%	23.2%	0.0%
Net Profits	6,309	-2,742	4,599	-5,838	-876	6,416	7,088	3,397	4,574	6,181	7,908	5,302	9,225	11,891	15,223	12,837	16,291	18,204	21,262	18,073	374
as a % of sales	7.8%	-3.2%	5.3%	-6.7%	-1.0%	6.9%	8.0%	3.9%	4.9%	6.3%	7.8%	5.7%	9.1%	11.1%	13.4%	12.4%	14.6%	15.6%	17.2%	16.0%	0.4%
R&D	3,641	3,687	3,775	3,939	3,585	3,600	3,519	3,900	3,800	3,800	3,800	3,800	4,000	4,000	4,000	4,000	4,000	4,000	4,000	4,000	4,795
Depreciation	10,548	11,377	11,899	12,434	11,432	12,054	12,521	12,821	11,900	12,100	12,400	12,700	12,300	12,600	12,900	13,200	12,700	13,000	13,300	13,600	11,992
Capex	14,980	15,100	16,329	17,749	10,930	8,667	12,095	14,400	12,500	12,500	12,500	12,500	13,000	13,000	13,000	13,000	14,000	14,000	14,000	14,000	14,307
Inventory	112,322	113,697	115,096	110,026	114,027	116,126	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Sales																					
Capacitor	55,912	58,278	58,317	59,559	60,197	65,908	61,702	63,565	69,450	71,004	75,749	68,344	76,942	79,178	86,592	77,846	86,658	88,407	96,343	86,629	63,691
yoy % chg.	18.6%	12.2%	7.6%	13.3%	7.7%	13.1%	5.8%	6.7%	15.4%	7.7%	22.8%	7.5%	10.8%	11.5%	14.3%	13.9%	12.6%	11.7%	11.3%	11.3%	6.9%
qoq % chg.	6.4%	4.2%	0.1%	2.1%	1.1%	9.5%	-6.4%	3.0%	9.3%	2.2%	6.7%	-9.8%	12.6%	2.9%	9.4%	-10.1%	11.3%	2.0%	9.0%	-10.1%	3.2%
as a % of total	68.9%	67.2%	67.1%	68.7%	71.0%	71.0%	69.7%	72.6%	74.3%	72.4%	74.4%	73.5%	75.8%	74.1%	76.4%	75.5%	77.6%	75.9%	77.8%	76.8%	72.5%
Order	57,900	58,100	62,200	63,100	57,500	58,200	66,900	-	-	-	-	-	-	-	-	-	-	-	-	-	-
BB ratio	1.04	1.00	1.07	1.06	0.96	0.88	1.08	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Backlogs	41,700	41,500	45,400	48,300	45,500	37,900	43,100	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Inductor	13,011	15,963	17,471	15,101	14,839	16,652	17,132	14,903	15,395	18,274	17,442	16,115	15,883	18,823	17,967	16,611	16,392	19,394	18,514	17,128	14,876
yoy % chg.	18.5%	1.4%	7.9%	19.4%	14.0%	4.3%	-1.9%	-1.3%	3.7%	9.7%	1.8%	8.1%	3.2%	3.0%	3.0%	3.1%	3.2%	3.0%	3.0%	3.1%	-1.5%
qoq % chg.	2.9%	22.7%	9.4%	-13.6%	-1.7%	12.2%	2.9%	-13.0%	3.3%	18.7%	-4.6%	-7.6%	-1.4%	18.5%	-4.5%	-7.5%	-1.3%	18.3%	-4.5%	-7.5%	-13.2%
as a % of total	16.0%	18.4%	20.1%	17.4%	17.5%	17.9%	19.4%	17.0%	16.5%	18.6%	17.1%	17.3%	15.6%	17.6%	15.8%	16.1%	14.7%	16.7%	15.0%	15.2%	16.9%
Integrated modules & devices	6,388	6,097	5,363	5,138	3,608	4,031	3,635	3,122	2,393	2,575	2,484	2,374	2,321	2,497	2,409	2,303	2,270	2,264	2,551	2,686	3,224
yoy % chg.	-21.9%	-26.8%	-44.4%	-41.5%	-43.5%	-33.9%	-32.2%	-39.2%	-33.7%	-36.1%	-31.7%	-24.0%	-3.0%	-3.0%	-3.0%	-3.0%	-2.2%	-9.3%	5.9%	16.7%	-37.3%
qoq % chg.	-27.3%	-4.6%	-12.0%	-4.2%	-29.8%	11.7%	-9.8%	-14.1%	-23.3%	7.6%	-3.5%	-4.4%	-2.2%	7.6%	-3.5%	-4.4%	-1.4%	-0.3%	12.7%	5.3%	-11.4%
as a % of total	7.9%	7.0%	6.2%	5.9%	4.3%	4.3%	4.1%	3.6%	2.6%	2.6%	2.4%	2.6%	2.3%	2.3%	2.1%	2.2%	2.0%	1.9%	2.1%	2.4%	3.7%
Others	5,827	6,380	5,717	6,916	6,166	6,223	6,046	6,000	6,200	6,200	6,200	6,200	6,400	6,400	6,400	6,400	6,400	6,400	6,400	6,400	6,070
yoy % chg.	-7.8%	-6.0%	-10.1%	1.0%	5.8%	-2.5%	5.8%	-13.2%	0.6%	-0.4%	2.5%	3.3%	3.2%	3.2%	3.2%	3.2%	0.0%	0.0%	0.0%	0.0%	-12.2%
qoq % chg.	-14.9%	9.5%	-10.4%	21.0%	-10.8%	0.9%	-2.8%	-0.8%	3.3%	0.0%	0.0%	0.0%	3.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.5%
as a % of total	7.2%	7.4%	6.6%	8.0%	7.3%	6.7%	6.8%	6.9%	6.6%	6.3%	6.1%	6.7%	6.3%	6.0%	5.6%	6.2%	5.7%	5.5%	5.2%	5.7%	6.9%
Total Sales	81,138	86,718	86,868	86,714	84,810	92,814	88,515	87,589	93,438	98,052	101,874	93,032	101,546	106,897	113,367	103,159	111,720	116,465	123,808	112,843	87,861
yoy % chg.	11.7%	4.7%	0.6%	7.3%	4.5%	7.0%	1.9%	1.0%	10.2%	5.6%	15.1%	6.2%	8.7%	9.0%	11.3%	10.9%	10.0%	8.9%	9.2%	9.4%	1.3%
qoq % chg.	0.4%	6.9%	0.2%	-0.2%	-2.2%	9.4%	-4.6%	-1.0%	6.7%	4.9%	3.9%	-8.7%	9.2%	5.3%	6.1%	-9.0%	8.3%	4.2%	6.3%	-8.9%	-0.7%
as a % of total	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%

Source: Company data, J.P. Morgan estimates.

Figure 25: Profit and Loss Statement

FY	FY2024	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2025	FY2026E	FY2027E	FY2028E	FY2029E
JPY mn	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
Sales	322,647	341,438	353,728	386,396	424,970	464,833	81,138	86,718	86,868	86,714	84,810	92,814	88,515	87,589	93,438	98,052
COGS	257,191	269,867	269,776	284,572	284,608	286,743	63,656	66,834	70,526	68,851	66,626	71,341	65,560	66,249	70,517	72,254
Gross Profit	65,456	71,571	83,953	101,824	140,362	178,089	17,482	19,884	16,342	17,863	18,184	21,473	22,955	21,341	22,921	25,798
SG&A	56,377	61,112	62,063	64,093	66,093	68,093	14,852	14,938	15,516	15,800	15,042	15,591	15,460	16,000	15,542	16,091
Operating Profit	9,079	10,459	21,860	37,731	74,269	110,000	2,630	4,946	826	2,067	3,142	5,882	7,495	5,341	7,379	9,708
Financial Income and Expenses	583	660	-361	600	600	600	272	221	143	24	33	-207	-237	150	150	150
Foreign Exchange Gains / Losses	3,961	-819	4,179	0	0	0	5,373	-7,131	5,937	-5,018	-2,981	2,130	5,030	0	0	0
Equity method income	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Others	34	217	-487	0	0	0	102	346	0	-231	62	45	-584	0	0	0
Recurring Profit	13,727	10,517	25,291	38,331	74,869	110,600	8,377	-1,818	6,506	-1,186	256	7,858	11,684	5,491	7,529	9,858
Extraordinary Gains	271	602	397	400	400	400	27	499	1	75	293	4	0	100	100	100
Extraordinary Losses	556	2,754	2,033	4,000	4,000	4,000	219	1,800	122	613	476	508	51	1,000	1,000	1,000
Profit Before Tax (EBT)	13,073	8,365	23,667	34,731	71,269	107,000	8,185	-250	6,885	-705	73	7,348	11,655	4,591	6,029	8,958
Corporate Income Tax	4,755	6,037	7,643	10,767	22,093	33,170	1,876	-178	2,206	2,133	949	932	4,568	1,194	2,055	2,777
Net Income	8,317	2,328	16,023	23,965	49,176	73,830	6,309	-2,742	4,599	-5,838	-876	6,416	7,086	3,397	4,574	6,181
Tax Rate	36.37%	72.17%	32.29%	31.00%	31.00%	31.00%	22.92%	6.10%	32.42%	-57.57%	1300.00%	12.68%	39.19%	26.00%	31.00%	31.00%
% to Sales																
COGS	79.71%	79.04%	76.27%	73.65%	66.97%	61.69%	78.45%	77.07%	81.19%	79.40%	78.56%	76.86%	74.07%	75.64%	75.47%	73.69%
Gross Profit	20.29%	20.96%	23.73%	26.35%	33.03%	38.31%	21.55%	22.93%	18.81%	20.60%	21.44%	23.14%	25.93%	24.36%	24.53%	26.31%
SG&A	17.47%	17.90%	17.55%	16.59%	15.55%	14.65%	18.30%	17.23%	17.86%	18.23%	17.74%	16.80%	17.47%	18.27%	16.93%	16.41%
EBITDA	48.470	56,717	70,688	86,731	125,269	162,600	13,178	16,323	12,725	14,491	14,574	17,936	20,016	18,162	19,179	21,808
Operating Profit	2.81%	3.08%	6.18%	9.76%	17.48%	23.66%	3.24%	5.70%	0.95%	2.37%	3.70%	6.34%	8.47%	6.18%	7.90%	9.90%
Recurring Profit	4.26%	3.08%	7.15%	9.92%	17.62%	23.79%	10.32%	-1.87%	7.97%	-3.65%	0.30%	8.46%	13.21%	6.27%	8.06%	10.05%
Net Profit	2.58%	0.68%	4.53%	6.20%	11.57%	15.88%	7.78%	-3.16%	5.29%	-6.73%	-1.03%	6.91%	8.01%	3.68%	4.90%	6.30%
YoY Analysis																
Sales	0.88%	5.82%	3.60%	9.24%	9.98%	9.38%	11.74%	4.71%	0.56%	7.27%	4.53%	7.03%	1.90%	1.01%	10.17%	5.64%
Gross Profit	-25.12%	9.34%	17.30%	21.29%	37.85%	26.88%	37.02%	15.71%	-15.30%	10.15%	4.02%	7.89%	40.47%	19.47%	26.05%	20.14%
SG&A	1.69%	8.40%	1.61%	3.22%	3.12%	3.03%	11.37%	3.27%	7.79%	11.46%	1.28%	4.37%	-0.36%	1.23%	3.32%	3.11%
Operating Profit	-71.61%	16.20%	109.01%	72.61%	96.84%	48.11%	81.84%	-83.14%	1.03%	19.47%	807.38%	159.64%	134.66%	66.04%	62.52%	67.90%
Recurring Profit	-60.50%	-23.55%	140.48%	51.56%	95.32%	47.72%	62.78%	-	-492.47%	-	-96.94%	-	68.84%	-	2841.10%	25.58%
Profit Before Tax	-57.97%	-36.01%	182.93%	46.75%	105.20%	50.13%	554.26%	-	-516.95%	-	-99.11%	-	71.27%	-	8961.11%	21.91%
Net Profit	-64.18%	-72.01%	586.28%	49.56%	105.20%	50.13%	598.67%	-	-1596.30%	-	-	-	54.08%	-	-	-3.67%
Per Share																
Shares Outstanding(thousands)	124,627	124,733	124,733	124,733	124,733	124,733	136,469	136,469	136,469	124,733	124,733	124,733	124,733	124,733	124,733	124,733
Fully Diluted	136,363	136,469	136,469	136,469	136,469	136,469	136,469	136,469	136,469	136,469	136,469	136,469	136,469	136,469	136,469	136,469
EPS (JPY)	67	19	128	192	394	592	46	-20	34	-47	-7	51	57	27	37	50
Fully Diluted	61	17	117	176	360	541	46	-20	34	-43	0	47	52	25	34	45
CFPS	383	390	520	585	803	1,014	124	63	121	53	85	148	157	130	131	147
Fully Diluted	350	356	475	535	734	926	124	63	121	48	77	135	144	119	120	134
BPS (JPY)	2,640	2,559	2,597	2,690	3,004	3,506	2,505	2,400	2,457	2,559	2,513	2,600	2,718	-	-	-
DPS (JPY)	90	90	90	90	90	90	-	-	-	-	-	-	-	-	-	-
DOE	3.40%	3.52%	3.47%	3.33%	3.00%	2.57%	-	-	-	-	-	-	-	-	-	-
Dividend Payout Ratio	134.86%	482.22%	70.96%	46.84%	22.83%	15.21%	-	-	-	-	-	-	-	-	-	-
ROA	13.69%	15.042	14.604	15.200	16.000	16.000	3.641	3.687	3.775	3.939	3.585	3.600	3.519	3.900	3.800	3.800
as a % of sales	4.24%	4.41%	4.13%	3.93%	3.76%	3.44%	4.49%	4.25%	4.35%	4.54%	4.23%	3.88%	3.98%	4.45%	4.07%	3.88%
Depreciation	39,391	46,258	48,828	49,000	51,000	52,600	10,548	11,377	11,899	12,434	11,432	12,054	12,521	12,621	11,800	12,100
as a % of sales	12.21%	13.55%	13.80%	12.68%	12.00%	11.32%	13.00%	13.12%	13.70%	14.34%	13.48%	12.99%	14.15%	14.64%	12.63%	12.34%
CAPEX	52,201	64,158	46,092	50,000	52,000	56,000	14,680	15,100	16,329	17,749	19,830	8,667	12,095	14,400	12,500	12,500
as a % of sales	28.58%	18.79%	13.03%	12.94%	12.24%	12.05%	18.46%	17.41%	18.80%	20.47%	12.89%	9.34%	13.66%	16.44%	13.38%	12.75%
EBITDA	48,470	56,717	70,688	86,731	125,269	162,600	13,178	16,323	12,725	14,491	14,574	17,936	20,016	18,162	19,179	21,808
yoY % chg	-27.53%	17.01%	24.63%	22.70%	44.43%	29.80%	59.20%	34.46%	-15.85%	12.02%	10.59%	9.86%	57.36%	25.33%	31.60%	21.58%
qoq % chg	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
as a % of sales	15.02%	16.61%	19.98%	22.45%	29.48%	34.98%	16.24%	18.82%	14.65%	16.71%	17.18%	19.32%	22.61%	20.74%	20.53%	22.24%
Cashflow	47,708	46,598	64,851	72,965	100,176	126,430	16,857	8,635	16,498	6,598	10,558	18,470	19,607	16,218	16,374	16,281
yoY % chg	17.81%	1.84%	33.48%	12.51%	37.29%	26.21%	72.84%	-27.54%	57.17%	-57.69%	-37.38%	113.90%	19.84%	145.86%	55.12%	-1.02%
as a % of sales	14.79%	14.23%	18.33%	18.88%	23.57%	27.20%	20.76%	9.96%	19.99%	7.61%	12.45%	19.90%	22.15%	18.52%	17.52%	16.64%
Free Cashflow	-44,063	-15,872	18,759	22,865	48,176	70,430	1,877	-4,605	169	-11,153	-374	9,839	7,512	1,818	-3,874	5,781
yoY % chg	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
as a % of sales	-13.79%	-4.56%	5.30%	5.94%	11.34%	15.15%	2.31%	-7.46%	0.19%	-12.86%	-0.44%	10.56%	8.46%	2.60%	-4.10%	5.90%

Source: Company data, J.P. Morgan estimates.

Figure 26: Balance Sheet

FY JPY mn	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026E	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2024 1Q	FY3/2024 2Q	FY3/2024 3Q	FY3/2024 4Q	FY3/2025 1Q	FY3/2025 2Q	FY3/2025 3Q	FY3/2025 4Q	FY3/2026 1Q	FY3/2026 2Q	FY3/2026 3Q
Assets																						
Cash and Cash Equivalents	56,430	59,622	84,297	92,570	87,197	102,783	78,166	78,440	72,959	95,835	140,017	113,508	90,730	97,746	102,783	113,040	98,838	82,495	78,166	85,525	90,632	88,552
Accounts Receivable	62,507	64,498	78,491	86,274	70,114	80,894	80,222	83,110	90,785	99,848	109,215	71,889	81,346	82,987	80,894	79,170	75,909	87,513	80,222	79,864	84,049	86,766
Inventories	60,946	62,587	67,934	96,780	104,814	102,336	110,026	109,989	116,021	116,036	116,907	106,471	101,722	96,620	102,336	112,322	113,697	115,096	110,026	114,027	116,126	125,373
Other Current Assets	5,975	5,223	6,877	6,983	12,271	11,206	10,870	10,870	10,870	10,870	10,870	13,030	9,936	10,714	11,206	13,056	11,448	11,340	10,870	9,102	7,995	7,450
Total Current Assets	185,858	191,930	237,599	282,607	274,396	297,219	279,284	282,408	290,636	322,589	377,006	304,898	283,734	288,067	297,219	317,588	299,862	296,444	279,284	288,518	298,602	308,141
Tangible Fixed Assets	125,517	144,400	159,172	184,936	220,590	273,556	286,837	284,101	285,101	286,101	289,501	240,207	259,314	261,725	273,556	281,969	284,342	292,389	286,837	287,912	287,297	294,827
Investments and Other Assets	17,486	6,792	7,871	6,979	8,476	8,911	7,067	7,067	7,067	7,067	7,067	6,705	6,800	6,896	8,911	8,759	6,761	6,749	7,067	7,937	7,149	5,613
Total Investments	4,780	2,671	2,405	1,505	1,447	1,342	20	20	20	20	20	1,519	1,459	1,517	1,342	1,398	20	20	20	20	20	20
Deferred Tax Assets	3,864	1,314	2,144	2,536	3,825	4,168	3,742	3,742	3,742	3,742	3,742	-	-	-	4,168	-	-	-	3,742	-	-	-
Operating Lease / Right-of-use Assets	354	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Intangible Assets	1,219	1,293	1,371	1,340	1,663	1,807	1,907	1,907	1,907	1,907	1,907	1,691	1,765	1,790	1,807	1,864	1,835	1,821	1,907	2,140	1,887	1,827
Goodwill	5,837	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other non current asset	1,452	1,514	1,951	1,599	1,541	1,594	1,398	1,398	1,398	1,398	1,398	3,405	3,576	3,589	1,594	5,497	4,908	4,908	1,398	5,777	5,242	3,766
Total Non Current Assets	143,003	151,192	167,043	191,915	229,066	282,467	293,904	291,168	292,168	293,168	296,568	246,912	266,114	268,621	282,467	290,728	291,103	299,138	293,904	295,849	294,446	300,440
Total Assets	328,861	343,122	404,642	474,522	503,462	579,686	573,188	573,576	582,804	615,757	673,576	551,810	549,848	556,688	579,686	608,316	590,995	595,582	573,188	584,367	593,248	608,581
Liabilities and Equity																						
Accounts Payable	25,031	26,603	31,728	32,828	23,012	29,745	27,157	27,148	28,637	28,640	28,855	25,563	26,907	27,265	29,745	32,132	31,203	28,514	27,157	28,333	28,345	27,313
Short-term debt	25,629	21,913	31,962	24,235	48,158	13,455	19,702	20,000	20,000	20,000	20,000	49,158	39,706	13,456	13,455	4,204	14,704	19,703	19,702	38,638	28,418	23,959
Accrued Salaries and Bonuses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued Expenses	13,405	16,813	15,907	15,613	24,735	22,013	14,036	14,036	14,036	14,036	14,036	-	-	-	22,013	-	-	-	14,036	-	-	-
Accrued Taxes	5,085	1,903	5,803	13,967	1,550	2,182	2,086	2,086	2,086	2,086	2,086	1,896	2,479	609	2,182	2,263	1,728	877	2,086	2,131	1,806	1,799
Other Non Current Financial Liabilities	12,847	17,101	17,077	20,370	14,685	18,385	16,665	16,665	16,665	16,665	16,665	48,228	43,724	36,828	18,385	38,009	39,099	36,868	16,665	32,149	29,963	28,605
Total Current Liabilities	81,997	84,333	102,477	107,013	112,140	85,780	79,645	79,645	81,423	81,423	81,423	124,845	112,816	78,158	85,780	76,608	86,734	85,962	79,645	101,251	88,532	81,676
LT Debts	28,415	34,752	41,788	48,749	50,777	135,389	144,698	140,000	135,000	130,000	125,000	84,227	84,222	135,436	135,389	160,338	149,791	144,744	144,698	131,654	142,107	147,062
Operating Lease Liabilities	354	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred Tax Liabilities	3,864	1,314	2,144	2,536	3,825	4,168	3,742	3,742	3,742	3,742	3,742	-	-	-	4,168	-	-	-	3,742	-	-	-
Retirement Benefit Liabilities	3,742	4,200	5,105	5,315	5,666	6,994	7,229	7,229	7,229	7,229	7,229	6,180	6,377	6,485	6,994	7,499	7,162	7,284	7,229	7,719	7,862	8,239
Other Non Current Financial Liabilities	4,536	8,069	9,187	10,623	12,576	17,257	18,703	18,703	18,703	18,703	18,703	14,648	18,148	18,492	17,257	22,108	19,816	22,282	18,703	30,253	30,194	32,592
Total Non Current Liabilities	40,911	48,335	58,224	67,223	72,844	163,808	174,372	169,674	164,674	159,674	154,763	105,055	108,747	160,413	163,808	189,855	176,769	174,310	174,372	169,626	180,163	187,893
Minority Interests	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Capital Stock	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575	33,575
Capital Surplus	49,904	49,903	49,903	49,908	49,908	49,922	49,969	49,969	49,969	49,969	49,969	49,908	49,922	49,922	49,922	49,922	49,969	49,969	49,969	49,969	49,969	49,969
Retained Earnings	135,217	150,263	174,977	221,178	233,802	230,905	222,012	228,809	239,548	277,498	340,102	229,098	231,595	226,264	230,905	231,606	228,864	227,850	222,012	215,523	221,939	223,398
Treasury Shares	-4,613	-8,586	-3,576	-13,454	-13,457	-13,411	-13,157	-13,157	-13,157	-13,157	-13,157	-13,457	-13,411	-13,411	-13,411	-13,412	-13,157	-13,157	-13,157	-13,158	-12,398	-12,398
Other Equity	-8,130	-14,691	-5,938	9,079	14,650	29,107	26,772	26,772	26,772	26,772	26,772	22,786	26,604	21,767	29,107	40,162	28,241	37,073	26,772	27,581	31,475	44,475
Shareholder's Equity	205,953	210,454	243,941	300,286	318,478	330,098	319,171	323,968	336,707	374,657	437,261	321,910	328,285	318,117	330,098	341,853	327,492	335,310	319,171	313,490	324,553	339,012
Total Liabilities and Equity	328,861	343,122	404,642	474,522	503,462	579,686	573,188	573,576	582,804	615,757	673,576	551,810	549,848	556,688	579,686	608,316	590,995	595,582	573,188	584,367	593,248	608,581
FY JPY mn	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026E	FY3/2027E	FY3/2028E	FY3/2029E	FY3/2024 1Q	FY3/2024 2Q	FY3/2024 3Q	FY3/2024 4Q	FY3/2025 1Q	FY3/2025 2Q	FY3/2025 3Q	FY3/2025 4Q	FY3/2026 1Q	FY3/2026 2Q	FY3/2026 3Q
Debt with interest	28,415	34,752	41,788	48,749	50,777	135,389	144,698	140,000	135,000	130,000	125,000	84,227	84,222	135,436	135,389	160,338	149,791	144,744	144,698	131,654	142,107	147,062
Net Debt	-29,015	-24,870	-42,509	-43,821	-36,420	32,606	66,532	61,560	62,041	34,165	-15,017	-29,281	-8,508	37,690	32,606	47,298	50,953	62,249	66,532	46,129	51,475	58,510
Net Debt (Including Investment Securities)	-32,775	-27,541	-48,914	-45,326	-37,867	31,264	66,512	61,540	62,021	34,145	-15,037	-30,800	-7,967	36,173	31,264	45,900	50,933	62,229	66,512	46,109	51,455	58,490
Consolidated Employees (Persons)	21,300	21,723	22,852	22,312	21,819	21,823	20,779	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-Consolidated Employees (Persons)	2,681	2,785	22,837	2,873	2,903	2,853	2,928	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Asset Composition Ratio																						
Current Assets	56.52%	55.94%	58.72%	59.56%	54.50%	51.27%	48.72%	49.24%	49.87%	52.39%	55.97%	55.25%	51.60%	51.75%	51.27%	52.21%	50.74%	49.77%	48.72%	49.37%	50.37%	50.63%
Tangible Fixed Assets	38.17%	42.02%	39.34%	38.97%	43.81%	47.19%	50.04%	49.53%	48.92%	46.46%	42.98%	43.63%	47.16%	47.01%	47.19%	46.35%	48.11%	49.09%	50.04%	49.27%	48.43%	48.44%
Current Liabilities	24.93%	24.58%	25.33%	22.55%	22.27%	14.80%	13.90%	13.94%	13.97%	13.22%	12.12%	22.62%	20.52%	14.04%	14.80%	12.99%	14.68%	14.43%	13.90%	17.33%	14.92%	13.42%
Shareholders' Equity	62.63%	61.34%	60.29%	63.28%	63.26%	56.94%	55.68%	56.48%	57.77%	60.84%	64.92%	58.34%	59.70%	57.14%	56.94%	56.2						

Figure 27: Cash Flow Statement

FY	FY3/2017	FY3/2018	FY3/2019	FY3/2020	FY3/2021	FY3/2022	FY3/2023	FY3/2024	FY3/2025	FY3/2026E	FY3/2027E	FY3/2028E	FY3/2029E
JPY mn													
Net Income	5,428	16,355	23,687	18,022	28,615	54,361	23,216	8,317	2,328	16,023	23,965	49,176	73,830
Minority Interest	6	0	0	0	0	0	0	0	0	0	0	0	0
Depreciation	24,908	25,589	26,547	27,022	29,256	31,287	34,903	39,391	46,258	48,828	49,000	51,000	52,600
Change in Working Capital	-810	-7,799	-15,062	-2,060	-14,215	-35,529	-1,690	-1,569	-9,606	-2,860	-12,219	-9,074	-10,022
Change in Other Current Assets	-378	1,181	5,058	5,232	1,316	11,057	-14,268	2,675	-9,458	0	0	0	0
CAPEX	-33,161	-24,549	-38,570	-39,365	-49,699	-34,023	-50,489	-92,201	-64,158	-46,092	-50,000	-52,000	-56,000
Change in Investments	-473	-409	2,409	2,089	266	900	58	105	1,322	0	0	0	0
Change in Intangible assets	-370	-78	-5,747	5,763	-78	31	-323	-144	-100	0	0	0	0
Change in Other Fixed Assets	1,163	-3,054	82	3,929	1,586	1,999	2,361	5,956	1,877	0	0	0	0
FCF	-3,687	7,236	-1,596	20,632	-2,953	30,083	-6,232	-37,470	-31,537	15,900	10,746	39,102	60,407
Change in Interest Bearing Debt	-1,745	3,172	-774	2,621	17,085	-766	25,951	49,909	15,556	-4,400	-5,000	-5,000	-5,000
Dividends	-2,357	-2,357	-2,681	-3,263	-5,021	-9,969	-11,215	-11,216	-11,226	-11,226	-11,226	-11,226	-11,226
Treasury Stock	17	7	-1,311	-3,983	20	-4,878	-3	46	254	0	0	0	0
CF from Other Financial Activities	-2,309	1,963	16,140	-6,275	9,873	16,831	6,194	14,473	-2,283	0	-0	0	0
CF	-10,081	10,021	9,778	9,732	19,004	31,301	14,695	15,742	-7,292	274	-5,480	22,876	44,181
Cash and Cash Equivalents	40,069	49,700	56,430	59,622	84,297	92,570	87,197	102,783	78,166	78,440	72,959	95,835	140,017
ROE	3.53%	10.09%	12.60%	8.66%	12.59%	19.98%	7.50%	2.56%	0.72%	4.98%	7.25%	13.83%	18.19%
ROA	2.01%	5.86%	7.69%	5.36%	7.65%	12.37%	4.75%	1.54%	0.40%	2.79%	4.14%	8.21%	11.45%
Total Asset Turnover	0.855	0.874	0.891	0.840	0.805	0.795	0.653	0.596	0.592	0.617	0.668	0.709	0.721
Equity Ratio	56.85%	59.24%	62.63%	61.34%	60.29%	63.28%	63.26%	56.94%	55.68%	56.48%	57.77%	60.84%	64.92%
DuPont System													
ROE	3.53%	10.09%	12.60%	8.66%	12.59%	19.98%	7.50%	2.56%	0.72%	4.98%	7.25%	13.83%	18.19%
Net Profit Margin	2.35%	6.70%	8.63%	6.38%	9.51%	15.55%	7.27%	2.58%	0.68%	4.53%	6.20%	11.57%	15.88%
Total Asset Turnover	85.52%	87.45%	89.07%	84.03%	80.49%	79.54%	65.34%	59.58%	59.23%	61.69%	66.83%	70.91%	72.10%
Financial Leverage Ratio	1.76	1.69	1.60	1.63	1.66	1.58	1.58	1.76	1.80	1.77	1.73	1.64	1.54

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Taiyo Yuden (6976) (*Overweight; Price Target: ¥9,500*)

Investment Thesis

We expect growth in demand for MLCCs for AI servers, which has grown rapidly, to lead to supply-demand tightening for MLCCs as a whole from FY2026 onward. As a result, we expect the pace of MLCC price declines to slow from 2H FY2026 onward and prices to stabilize heading into FY2027, accelerating earnings momentum.

Valuation

We base our December 2026 price target of ¥9,500 on our FY2028 EPS estimate of ¥541 (fully diluted) and a P/E of 17.6x, derived from the Bloomberg consensus-based sector average P/E of 15.9x as of April 21, and the stock's sector relative P/E of 1.1x based on two-year forward Bloomberg consensus estimates during the two previous MLCC cycle peaks in 2017–18 and 2020–21.

Risks to Rating and Price Target

Upside Scenario to Target Price/Rating

- Price hikes for MLCCs
- Inventory adjustment for automotive MLCCs ending early

Downside Scenario to Target Price/Rating

- Delay in MLCC supply-demand tightening
- Greater impact of a downturn in final demand due to memory shortage
- The AI cycle peaking out early

Taiyo Yuden (6976): Summary of Financials

Income Statement	2025/3A	2026/3E	2027/3E	2028/3E	Cash Flow Statement	2025/3A	2026/3E	2027/3E	2028/3E
Revenue	341,438.0	353,728.5	386,396.2	424,970.2	Cash flow from operating activities	31,399	61,992	60,746	91,102
COGS	(269,867)	(269,776)	(284,572)	(284,608)	o/w Depreciation & amortization	46,258	48,828	49,000	51,000
Gross profit	71,571	83,953	101,824	140,362	o/w Changes in working capital	(9,606)	(2,860)	(12,219)	(9,074)
SG&A	(61,112)	(62,093)	(64,093)	(66,093)	Cash flow from investing activities	(62,936)	(46,092)	(50,000)	(52,000)
EBITDA	56,717	70,688	86,731	125,269	o/w Capital expenditure	(64,158)	(46,092)	(50,000)	(52,000)
D&A	(46,258)	(48,828)	(49,000)	(51,000)	as % of sales	18.8%	13.0%	12.9%	12.2%
EBIT	10,459.0	21,859.9	37,731.4	74,269.3	Cash flow from financing activities	2,301	(15,626)	(16,226)	(16,226)
Net Interest	660	(261)	600	600	o/w Dividends paid	(11,226)	(11,226)	(11,226)	(11,226)
PBT	8,365	23,667	34,731	71,269	o/w Shares issued/(repurchased)	254	-	-	-
Tax	(6,037)	(7,643)	(10,767)	(22,093)	o/w Net debt issued/(repaid)	15,556	(4,400)	(5,000)	(5,000)
Minority Interest	0	0	0	0	Net change in cash	(29,236)	274	(5,480)	22,876
Net Income	2,328	16,023	23,965	49,176	Adj. Free cash flow to firm	(32,943)	16,076	10,332	38,688
Reported EPS	17.1	117.4	175.6	360.3	y/y Growth	-13.0%	-148.8%	-35.7%	274.5%
DPS	90.00	90.00	90.00	90.00					
Payout ratio	527.6%	76.7%	51.3%	25.0%					
Shares outstanding	125	125	125	125					
Balance Sheet	2025/3A	2026/3E	2027/3E	2028/3E	Ratio Analysis	2025/3A	2026/3E	2027/3E	2028/3E
Cash and cash equivalents	78,166.0	78,439.6	72,959.4	95,835.1	Gross margin	21.0%	23.7%	26.4%	33.0%
Accounts receivable	80,222	83,110	90,785	99,848	EBITDA margin	16.6%	20.0%	22.4%	29.5%
Inventories	110,026	109,989	116,021	116,036	EBIT margin	3.1%	6.2%	9.8%	17.5%
Other current assets	201,118	203,968	217,676	226,754	Net profit margin	0.7%	4.5%	6.2%	11.6%
Current assets	279,284	282,408	290,636	322,589	ROE	0.7%	5.0%	7.3%	13.8%
PP&E	286,837	284,101	285,101	286,101	ROA	0.4%	2.8%	4.1%	8.2%
LT investments	-	-	-	-	ROCE	0.6%	3.1%	5.3%	10.1%
Other non current assets	7,067	7,067	7,067	7,067	SG&A/Sales	17.9%	17.6%	16.6%	15.6%
Total assets	573,188	573,576	582,804	615,757	Net debt/Equity	0.3	0.3	0.2	0.1
Short term borrowings	19,702	20,000	20,000	20,000	Net debt/EBITDA	1.5	1.2	0.9	0.4
Payables	27,157	27,148	28,637	28,640	Sales/Assets (x)	0.6	0.6	0.7	0.7
Other short term liabilities	32,786	32,786	32,786	32,786	Assets/Equity (x)	1.8	1.8	1.8	1.7
Current liabilities	79,645	79,934	81,423	81,426	Interest cover (x)	NM	270.8	NM	NM
Long-term debt	144,698	140,000	135,000	130,000	Operating leverage	261.0%	3028.2%	786.2%	970.0%
Other long term liabilities	163,401	158,703	153,703	148,703	Tax rate	72.2%	32.3%	31.0%	31.0%
Total liabilities	254,017	249,608	246,097	241,100	Revenue y/y Growth	5.8%	3.6%	9.2%	10.0%
Shareholders' equity	319,171.0	323,968.3	336,707.0	374,656.8	EBITDA y/y Growth	17.0%	24.6%	22.7%	44.4%
Minority interests	-	-	-	-	EPS y/y growth	-72.0%	588.3%	49.6%	105.2%
Total liabilities & equity	573,188	573,576	582,804	615,757					
BVPS	2558.8	2597.3	2699.4	3003.7	Valuation	2025/3A	2026/3E	2027/3E	2028/3E
y/y Growth	-3.4%	1.5%	3.9%	11.3%	P/E (x)	363.9	52.9	35.4	17.2
Net debt/(cash)	86,234	81,560	82,041	54,165	P/BV (x)	2.4	2.4	2.3	2.1
					EV/EBITDA (x)	8.6	7.0	8.9	5.9
					Dividend Yield	1.4%	1.4%	1.4%	1.4%

Source: Company reports and J.P. Morgan estimates.

Note: ¥ in millions (except per-share data). Fiscal year ends Mar. o/w - out of which

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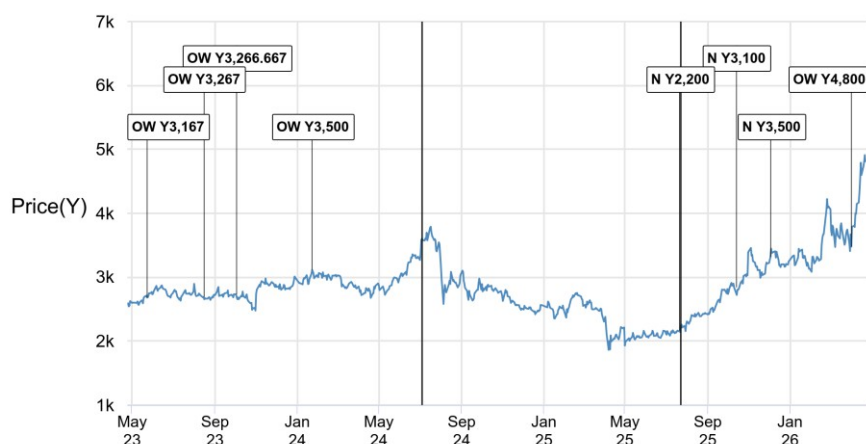
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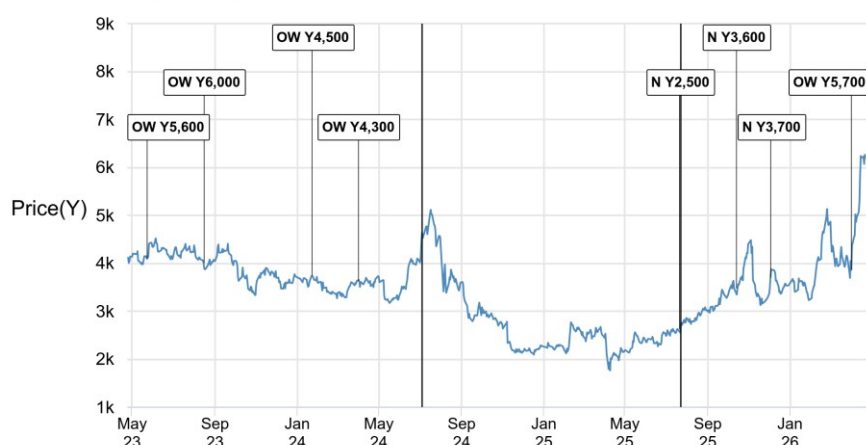
Murata Manufacturing (6981) (6981.T, 6981 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
24-May-23	OW	2683	3,167
16-Aug-23	OW	2691	3,267
03-Oct-23	OW	2732	3,266.667
24-Jan-24	OW	3112	3,500
22-Jul-25	N	2165	2,200
14-Oct-25	N	2842	3,100
04-Dec-25	N	3315	3,500
03-Apr-26	OW	3478	4,800

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 24, 2002. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

Taiyo Yuden (6976) (6976.T, 6976 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
24-May-23	OW	4095	5,600
16-Aug-23	OW	4007	6,000
24-Jan-24	OW	3742	4,500
01-Apr-24	OW	3625	4,300
22-Jul-25	N	2628	2,500
14-Oct-25	N	3474	3,600
04-Dec-25	N	3699	3,700
03-Apr-26	OW	3861	5,700

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2001. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

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